

BURLINGTON COMMUNITY SCHOOL DISTRICT

INDEPENDENT AUDITOR'S REPORTS
BASIC FINANCIAL STATEMENTS AND
SUPPLEMENTARY INFORMATION
SCHEDULE OF FINDINGS AND QUESTIONED COSTS

JUNE 30, 2024

Table of Contents

	<u>Page</u>
Officials	3
Independent Auditor's Report	4-6
Management's Discussion and Analysis	7-16
Basic Financial Statements:	<u>Exhibit</u>
Government-wide Financial Statements:	
Statement of Net Position	A 18
Statement of Activities	B 19
Governmental Fund Financial Statements:	
Balance Sheet	C 20
Reconciliation of the Balance Sheet - Governmental Funds to the Statement of Net Position	D 21
Statement of Revenues, Expenditures and Changes in Fund Balances	E 22
Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund Balances - Governmental Funds to the Statement of Activities	F 23
Proprietary Fund Financial Statements:	
Statement of Net Position	G 24
Statement of Revenues, Expenses and Changes in Fund Net Position	H 25
Statement of Cash Flows	I 26
Fiduciary Fund Financial Statements:	
Statement of Fiduciary Net Position	J 27
Statement of Changes in Fiduciary Net Position	K 28
Notes to Financial Statements	29-44
Required Supplementary Information:	
Budgetary Comparison Schedule of Revenues, Expenditures/Expenses and Changes in Balances - Budget and Actual - All Governmental Funds and Proprietary Fund	46
Notes to Required Supplementary Information - Budgetary Reporting	47
Schedule of the District's Proportionate Share of the Net Pension Liability	48
Schedule of District Contributions	49
Notes to Required Supplementary Information - Pension Liability	50
Schedule of Changes in the District's Total OPEB Liability and Related Ratios	51
Notes to Required Supplementary Information - OPEB Liability	52
Supplementary Information:	<u>Schedule</u>
Nonmajor Governmental Funds:	
Combining Balance Sheet	1 54
Combining Schedule of Revenues, Expenditures and Changes in Fund Balances	2 55
Capital Projects Fund Accounts:	
Combining Balance Sheet	3 56
Combining Schedule of Revenues, Expenditures and Changes in Fund Balances	4 57
Schedule of Changes in Special Revenue Fund, Student Activity Accounts	5 58
Schedule of Changes in Special Revenue Fund, Support Trust Accounts	6 59
Schedule of Changes in Private Purpose Trust Fund, Scholarship Accounts	7 60
Schedule of Revenues by Source and Expenditures by Function - All Governmental Funds	8 61
Schedule of Expenditures of Federal Awards	9 62
Independent Auditor's Report on Internal Control over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance with <u>Government Auditing Standards</u>	63-64
Independent Auditor's Report on Compliance for Each Major Federal Program and on Internal Control over Compliance Required by the Uniform Guidance	65-67
Schedule of Findings and Questioned Costs	68-70

Burlington Community School District

Officials

<u>Name</u>	<u>Title</u>	<u>Term Expires</u>
Board of Education (Before 2023 Election)		
Deborah Hatteberg	President	2023
Darven Kendell	Vice President	2025
Bryan Bross	Board Member	2023
Anika McVay	Board Member	2023
Joel Sieren	Board Member	2023
Christi Burghoffer	Board Member	2025
Nancy Hoelzen	Board Member	2023
Board of Education (After 2023 Election)		
Darven Kendell	President	2025
Anika McVay	Vice President	2027
Deborah Hatteberg	Board Member	2027
Christi Burghoffer	Board Member	2025
Bryan Bross	Board Member	2025
Tammy Anderson	Board Member	2027
William Vance	Board Member	2027
School Officials		
Robert Scott	Superintendent	2024
Greg Reynolds	Board Secretary/Treasurer and School Business Official	2024
Ahlers & Cooney, P.C.	Attorney	2024
Lynch Dallas PC	Attorney	2024

NOLTE, CORNMAN & JOHNSON P.C.
Certified Public Accountants
(a professional corporation)
115 North 3rd Avenue West, Newton, Iowa 50208-3218
Telephone (641) 792-1910

INDEPENDENT AUDITOR'S REPORT

To the Board of Education of Burlington Community School District:

Report on the Audit of the Financial Statements

Opinions

We have audited the financial statements of the governmental activities, the business type activities, each major fund and the aggregate remaining fund information of Burlington Community School District, Burlington, Iowa, as of and for the year ended June 30, 2024, and the related Notes to Financial Statements, which collectively comprise the District's basic financial statements listed in the table of contents.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business type activities, each major fund and the aggregate remaining fund information of the Burlington Community School District as of June 30, 2024 and the respective changes in financial position, and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in Government Auditing Standards issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of Financial Statements section of our report. We are required to be independent of Burlington Community School District, and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements related to our audit. We believe the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Burlington Community School District's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and Government Auditing Standards will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgement made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and Government Auditing Standards, we:

- Exercise professional judgement and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Burlington Community School District's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgement, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Burlington Community School District's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require Management's Discussion and Analysis, the Budgetary Comparison Information, the Schedule of the District's Proportionate Share of the Net Pension Liability, the Schedule of District Contributions and the Schedule of Changes in the District's Total OPEB Liability, Related Ratios and Notes on pages 7 through 16 and 46 through 52 be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic or historical context. We have applied certain limited procedures to the required supplementary information in accordance with GAAS, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise Burlington Community School District's basic financial statements. We previously audited, in accordance with the standards referred to in the third paragraph of this report, the financial statements for the nine years ended June 30, 2023 (which are not presented herein) and expressed unmodified opinions on those financial statements. The supplementary information included in Schedules 1 through 9, including the Schedule of Expenditures of Federal Awards required by Title 2, U.S. Code of Federal Regulations, Part 200, Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards (Uniform Guidance), is presented for purposes of additional analysis and is not a required part of the basic financial statements.

Such information, including the Schedule of Expenditures of Federal Awards, is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with GAAS. In our opinion, the supplementary information in Schedules 1 through 9, including the Schedule of Expenditures of Federal Awards, is fairly stated, in all material respects, in relation to the basic financial statements taken as a whole.

Other Information

Management is responsible for the other information in the independent auditor's report. The other information comprises the officials page but does not include the basic financial statements and our auditor's report thereon. Our opinions on the basic financial statement do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Other Reporting Required by Government Auditing Standards

In accordance with Government Auditing Standards, we have also issued our report dated March 13, 2025 on our consideration of Burlington Community School District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing and not to provide an opinion on the effectiveness of the District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with Government Auditing Standards in considering Burlington Community School District's internal control over financial reporting and compliance.



NOLTE, CORNMAN & JOHNSON, P.C.

March 13, 2025
Newton, Iowa

MANAGEMENT'S DISCUSSION AND ANALYSIS

Burlington Community School District provides this Management's Discussion and Analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2024. We encourage readers to consider this information in conjunction with the District's financial statements, which follow.

2024 FINANCIAL HIGHLIGHTS

- The District's total net position increased from \$86,288,287 at June 30, 2023 to \$90,424,686 at June 30, 2024. Total revenues decreased from \$68,966,564 in fiscal year 2023 to \$64,745,402 in fiscal year 2024, a 6.12% decrease, while total expenses increased from \$57,744,612 in fiscal year 2023 to \$60,609,003 in fiscal year 2024, a 4.96% increase from the prior year. Revenues from capital grants, contributions and restricted interest decreased \$2,721,507 compared to the prior year contributing to the decrease in total revenues. The increase in total expenses occurred mainly in the instruction functional area.
- The District's General Fund revenues decreased from \$58,188,688 in fiscal year 2023 to \$52,778,854 in fiscal year 2024, while General Fund expenditures decreased from \$58,524,700 in fiscal year 2023 to \$57,994,098 in fiscal year 2024. The District's General Fund balance decreased from \$14,955,075 at June 30, 2023 to \$9,739,831 at June 30, 2024, a 34.87% decrease from the prior year.
- The decrease in fiscal year 2024 General Fund revenues is due primarily to a decrease in federal grant revenues while the decrease in expenditures was due in part to decreases in expenditures for regular instruction and instructional staff support services compared to the prior year.

USING THIS ANNUAL REPORT

The annual report consists of a series of financial statements and other information, as follows:

Management's Discussion and Analysis introduces the basic financial statements and provides an analytical overview of the District's financial activities.

The Government-wide Financial Statements consist of a Statement of Net Position and a Statement of Activities. These provide information about the activities of Burlington Community School District as a whole and present an overall view of the District's finances.

The Fund Financial Statements tell how governmental and business type activities were financed in the short term as well as what remains for future spending. Fund financial statements report Burlington Community School District's operations in more detail than the government-wide statements by providing information about the most significant funds. The remaining financial statements provide information about activities for which Burlington Community School District acts solely as an agent or custodian for the benefit of those outside of the District.

Notes to Financial Statements provide additional information essential to a full understanding of the data provided in the basic financial statements.

Required Supplementary Information further explains and supports the financial statements with a comparison of the District's budget for the year, the District's proportionate share of the net pension liability and related contributions, as well as presenting the Schedule of Changes in the District's Total OPEB Liability, Related Ratios and Notes.

Supplementary Information provides detailed information about the nonmajor governmental funds. In addition, the Schedule of Expenditures of Federal Awards provides details of various federal programs benefiting the District.

Figure A-1 shows how the various parts of this annual report are arranged and relate to one another.

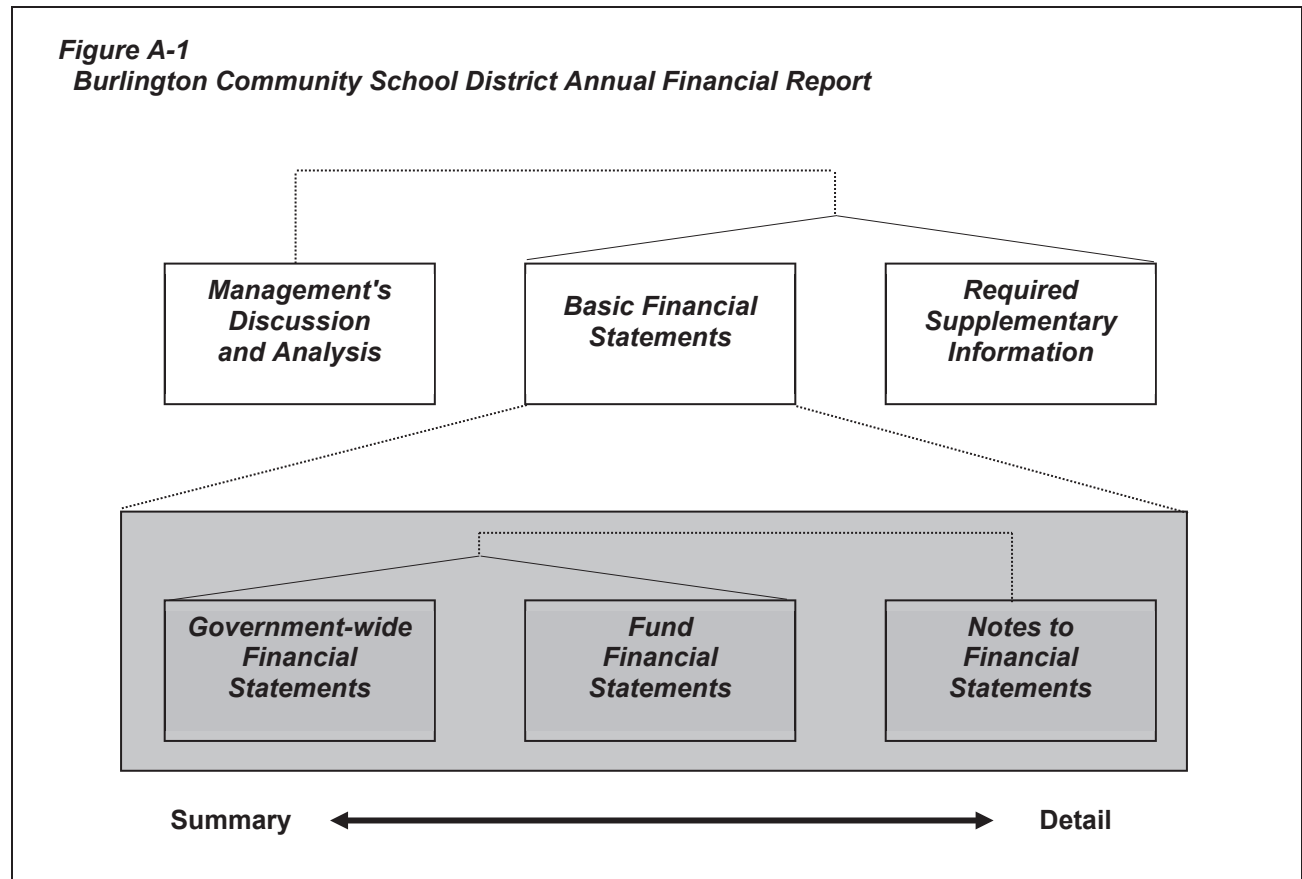


Figure A-2 summarizes the major features of the District's financial statements, including the portion of the District's activities they cover and the types of information they contain.

Figure A-2				
Major Features of the Government-Wide and Fund Financial Statements				
	Government-wide Statements	Fund Statements		
		Governmental Funds	Proprietary Funds	Fiduciary Funds
Scope	Entire district (except fiduciary funds)	The activities of the district that are not proprietary or fiduciary, such as special education and building maintenance	Activities the district operates similar to private businesses: food service	Instances in which the district administers resources on behalf of someone else, such as scholarship programs
Required financial statements	· Statement of net position · Statement of activities	· Balance sheet · Statement of revenues, expenditures, and changes in fund balances	· Statement of net position · Statement of revenues, expenses and changes in fund net position · Statement of cash flows	· Statement of fiduciary net position · Statement of changes in fiduciary net position
Accounting basis and measurement focus	Accrual accounting and economic resources focus	Modified accrual accounting and current financial resources focus	Accrual accounting and economic resources focus	Accrual accounting and economic resources focus
Type of asset/liability information	All assets and liabilities, both financial and capital, short-term and long-term	Generally assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included	All assets and liabilities, both financial and capital, and short-term and long-term	All assets and liabilities, both short-term and long-term; funds do not currently contain capital assets, although they can
Type of deferred outflow / inflow information	Consumption/acquisition of net position that is applicable to a future reporting period	Consumption/ acquisition of fund balance that is applicable to a future reporting period	Consumption/ acquisition of net position that is applicable to a future reporting period	Consumption/ acquisition of net position that is applicable to a future reporting period.
Type of inflow / outflow information	All revenues and expenses during year, regardless of when cash is received or paid	Revenues for which cash is received during or soon after the end of the year; expenditures when goods or services have been received and the related liability is due during the year or soon thereafter	All revenues and expenses during the year, regardless of when cash is received or paid	All additions and deductions during the year, regardless of when cash is received or paid

REPORTING THE DISTRICT'S FINANCIAL ACTIVITIES

Government-wide Financial Statements

The government-wide financial statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The Statement of Net Position includes all of the District's assets, deferred outflows of resources, liabilities and deferred inflows of resources, with the difference reported as net position. All of the current year's revenues and expenses are accounted for in the Statement of Activities, regardless of when cash is received or paid.

The two government-wide financial statements report the District's net position and how it has changed. Net Position is one way to measure the District's financial health or financial position. Over time, increases or decreases in the District's net position is an indicator of whether financial position is improving or deteriorating. To assess the District's overall health, additional non-financial factors, such as changes in the District's property tax base and the condition of school buildings and other facilities, need to be considered.

In the government-wide financial statements, the District's activities are divided into two categories:

- **Governmental activities:** Most of the District's basic services are included here, such as regular and special education, transportation and administration. Property tax and state aid finance most of these activities.
- **Business type activities:** The District charges fees to help cover the costs of certain services it provides. The District's school nutrition program is included here.

Fund Financial Statements

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds - not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

Some funds are required by state law and by bond covenants. The District establishes other funds to control and manage money for particular purposes, such as accounting for student activity funds, or to show that it is properly using certain revenues, such as federal grants.

The District has three kinds of funds:

- 1) **Governmental funds:** Most of the District's basic services are included in governmental funds, which generally focus on (1) how cash and other financial assets that can readily be converted to cash flow in and out and (2) the balances left at year-end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs.

The District's governmental funds include the General Fund, the Special Revenue Funds, the Debt Service Fund and the Capital Projects Fund.

The required financial statements for the governmental funds include a Balance Sheet and a Statement of Revenues, Expenditures and Changes in Fund Balances.

- 2) **Proprietary funds:** Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the government-wide financial statements. The District's Enterprise Funds, one type of proprietary fund, are the same as its business type activities, but provide more detail and additional information, such as cash flows. The District currently has three Enterprise Funds, the School Nutrition Fund, the Corse Early Childhood Center Fund and the Student Construction Fund. The District's Internal Service Fund, another type of proprietary fund, is the same as the governmental activities, but provides more detail and additional information, such as cash flows. The District currently has one Internal Service Fund used to report activities associated with the District's partially self-funded health insurance plan.

The required financial statements for proprietary funds include a Statement of Net Position, a Statement of Revenues, Expenses and Changes in Fund Net Position and a Statement of Cash Flows.

- 3) **Fiduciary funds:** The District is the trustee, or fiduciary, for assets that belong to others. This fund includes the Private Purpose Trust Fund.
 - Private Purpose Trust Fund - The District accounts for outside donations for scholarships for individual students in this fund.

The District is responsible for ensuring that the assets reported in the fiduciary funds are used only for their intended purposes and by those to whom the assets belong. The District excludes these activities from the government-wide financial statements because it cannot use these assets to finance its operations.

The required financial statements for fiduciary funds include a Statement of Fiduciary Net Position and a Statement of Changes in Fiduciary Net Position.

Reconciliations between the government-wide financial statements and the governmental fund financial statements follow the governmental fund financial statements.

GOVERNMENT-WIDE FINANCIAL ANALYSIS

Figure A-3 below provides a summary of the District's net position at June 30, 2024 compared to June 30, 2023.

Figure A-3 Condensed Statement of Net Position							
	Governmental Activities		Business Type Activities		Total District		Total Change
	June 30,		June 30,		June 30,		June 30,
	2024	2023	2024	2023	2024	2023	2023-24
Current and other assets	\$ 75,642,491	92,807,399	1,084,854	1,017,436	76,727,345	93,824,835	-18.22%
Capital assets	98,901,048	78,382,192	41,925	59,576	98,942,973	78,441,768	26.14%
Total assets	174,543,539	171,189,591	1,126,779	1,077,012	175,670,318	172,266,603	1.98%
Deferred outflows of resources	5,925,260	4,050,302	177,154	105,860	6,102,414	4,156,162	46.83%
Long-term liabilities	59,004,541	59,589,827	476,299	376,947	59,480,840	59,966,774	-0.81%
Other liabilities	13,897,245	11,352,943	63,686	73,411	13,960,931	11,426,354	22.18%
Total liabilities	72,901,786	70,942,770	539,985	450,358	73,441,771	71,393,128	2.87%
Deferred inflows of resources	17,859,225	18,667,752	47,050	73,598	17,906,275	18,741,350	-4.46%
Net position:							
Net investment in capital assets	67,003,487	67,146,564	41,925	59,576	67,045,412	67,206,140	-0.24%
Restricted	26,407,638	19,611,971	-	-	26,407,638	19,611,971	34.65%
Unrestricted	(3,703,337)	(1,129,164)	674,973	599,340	(3,028,364)	(529,824)	-471.58%
Total net position	\$ 89,707,788	85,629,371	716,898	658,916	90,424,686	86,288,287	4.79%

The District's total net position increased 4.79%, or \$4,136,399, from the prior year.

The largest portion of the District's net position is invested in capital assets (e.g., land, infrastructure, intangibles, buildings, equipment and right-to-use leased assets), less the related debt. The debt related to the investment in capital assets is liquidated with resources other than capital assets.

Restricted net position represents resources subject to external restrictions, constitutional provisions or enabling legislation on how they can be used. The District's restricted net position increased \$6,795,667, or 34.65%, from the prior year. The increase in restricted net position is primarily a result of the increase in the amount restricted for school infrastructure compared to the prior year.

Unrestricted net position - the part of net position that can be used to finance day-to-day operations without constraints established by debt covenants, enabling legislation or other legal requirements - decreased \$2,498,540, or 471.58%. This decrease in unrestricted net position was primarily the result of the decrease in the District's unassigned General Fund balance.

Figure A-4 shows the changes in net position for the year ended June 30, 2024 compared to the year ended June 30, 2023.

Figure A-4 Changes in Net Position							
	Governmental Activities		Business Type Activities		Total District		Total Change
	2024	2023	2024	2023	2024	2023	2023-24
Revenues:							
Program revenues:							
Charges for service	\$ 1,263,179	1,454,936	386,878	507,816	1,650,057	1,962,752	-15.93%
Operating grants, contributions and restricted interest	8,451,660	9,899,329	1,998,216	1,744,475	10,449,876	11,643,804	-10.25%
Capital grants, contributions and restricted interest	2,037,287	4,758,794	-	-	2,037,287	4,758,794	-57.19%
General revenues:							
Property tax	12,409,320	13,737,919	-	-	12,409,320	13,737,919	-9.67%
Statewide sales, services and use tax	5,085,280	4,703,661	-	-	5,085,280	4,703,661	8.11%
Unrestricted state grants	30,042,738	30,529,777	-	-	30,042,738	30,529,777	-1.60%
Unrestricted investment earnings	2,929,589	1,346,115	37,040	23,728	2,966,629	1,369,843	116.57%
Other	82,091	249,389	22,124	10,625	104,215	260,014	-59.92%
Total revenues	62,301,144	66,679,920	2,444,258	2,286,644	64,745,402	68,966,564	-6.12%
Program expenses:							
Instruction	35,090,360	33,481,375	462,273	466,745	35,552,633	33,948,120	4.73%
Support services	17,235,254	17,242,781	125,376	110,413	17,360,630	17,353,194	0.04%
Non-instructional programs	31,085	35,217	1,728,627	1,605,010	1,759,712	1,640,227	7.28%
Other expenses	5,936,028	4,803,071	-	-	5,936,028	4,803,071	23.59%
Total expenses	58,292,727	55,562,444	2,316,276	2,182,168	60,609,003	57,744,612	4.96%
Excess of revenues over expenses	4,008,417	11,117,476	127,982	104,476	4,136,399	11,221,952	-63.14%
Transfers	70,000	70,000	(70,000)	(70,000)	-	-	0.00%
Change in net position	4,078,417	11,187,476	57,982	34,476	4,136,399	11,221,952	-63.14%
Net position beginning of year	85,629,371	74,441,895	658,916	624,440	86,288,287	75,066,335	14.95%
Net position end of year	\$ 89,707,788	85,629,371	716,898	658,916	90,424,686	86,288,287	4.79%

In fiscal year 2024, property tax and use tax and unrestricted state grants accounted for 68.14% of governmental activities revenues while charges for service and operating grants, contributions and restricted interest accounted for 97.58% of business type activities revenues.

The District's total revenues were approximately \$64.75 million, of which approximately \$62.30 million was for governmental activities and approximately \$2.45 million was for business type activities.

As shown in Figure A-4, the District as a whole experienced a 6.12% decrease in revenues and a 4.96% increase in expenses. The primary reason for the decrease in total revenues was a decrease in revenues from capital grants, contributions and restricted interest compared to the prior year. The increase in total expenses occurred mainly in the instruction functional area.

Governmental Activities

Revenues for governmental activities were \$62,301,144 and expenses were \$58,292,727 for the year ended June 30, 2024.

The following table presents the total and net cost of the District's major governmental activities, instruction, support services, non-instructional programs and other expenses, for the year ended June 30, 2024 compared to those expenses for the year ended June 30, 2023.

Figure A-5						
Total and Net Cost of Governmental Activities						
	Total Cost of Services			Net Cost of Services		
	2024	2023	Change 2023-24	2024	2023	Change 2023-24
Instruction	\$ 35,090,360	33,481,375	4.81%	28,156,992	25,041,477	12.44%
Support services	17,235,254	17,242,781	-0.04%	14,372,050	11,565,616	24.27%
Non-instructional programs	31,085	35,217	-11.73%	20,407	23,319	-12.49%
Other expenses	5,936,028	4,803,071	23.59%	3,991,152	2,818,973	41.58%
Total	<u>\$ 58,292,727</u>	<u>55,562,444</u>	<u>4.91%</u>	<u>46,540,601</u>	<u>39,449,385</u>	<u>17.98%</u>

For the year ended June 30, 2024:

- The cost financed by users of the District's programs was \$1,263,179.
- Federal and state governments along with contributions from local sources subsidized certain programs and projects with grants and contributions totaling \$10,488,947.
- The net cost of governmental activities was financed with \$12,409,320 in property tax, \$5,085,280 in statewide sales, services and use tax, \$30,042,738 in unrestricted state grants, \$2,929,589 in interest income and \$82,091 in other general revenues.

Business Type Activities

Revenues of the District's business type activities during the year ended June 30, 2024 were \$2,444,258, a 6.89% increase from the prior year, and expenses were \$2,316,276, a 6.15% increase from the prior year. The District's business type activities include the School Nutrition Fund, the Corse Early Childhood Center Fund and the Student Construction Fund. Revenues of these activities were comprised of charges for service, federal and state reimbursements, donations, investments and other income.

INDIVIDUAL FUND ANALYSIS

As previously noted, Burlington Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

The financial performance of the District as a whole is reflected in its governmental funds, as well. As the District completed the year, its governmental funds reported combined fund balances of \$45,921,361, below last year's ending combined fund balances of \$66,506,914. The decrease in combined fund balances is largely due to the decrease in the Capital Projects: Statewide Sales, Services and Use Tax Fund balance.

Governmental Fund Highlights

- The District's General Fund financial position is the product of many factors. The General Fund balance decreased from \$14,955,075 at June 30, 2023 to \$9,739,831 at June 30, 2024. Total revenues decreased from the prior year primarily due to a decrease in revenues from federal grants while total expenditures decreased due primarily to decreases in expenditures for regular instruction and instructional staff support services compared to the prior year.
- The Capital Projects Fund balance decreased from \$41,685,006 at June 30, 2023 to \$26,188,770 at June 30, 2024. This decrease was mainly caused by continued construction activity for various infrastructure projects.

Proprietary Fund Highlights

The School Nutrition Fund net position increased 10.53% from \$619,405 at June 30, 2023 to \$684,654 at June 30, 2024. The Corse Early Childhood Center Fund net position decreased from \$9,787 at June 30, 2023 to \$2,520 at June 30, 2024. The Student Construction Fund did not report activity during the year.

BUDGETARY HIGHLIGHTS

Over the course of the year, Burlington Community School District amended its budget one time to reflect additional expenditures associated with increased food prices and the timing of infrastructure improvement expenditures.

The District's revenues were \$740,505 less than budgeted revenues, a variance of 1.13%. However, the most significant variance resulted from the District receiving more from federal sources than originally anticipated.

Total expenditures were less than budgeted, primarily due to the District's budget for the General Fund. It is the District's practice to budget expenditures using realistic projections based from prior year expenditures with a buffer built as to not exceed the annual budget. The District then manages or controls General Fund spending through its line-item budget. As a result, the District's certified budget should always exceed actual expenditures for the year.

CAPITAL ASSETS AND DEBT ADMINISTRATION

Capital Assets

At June 30, 2024, the District had invested approximately \$98.94 million, net of accumulated depreciation/amortization, in a broad range of capital assets, including land, buildings, athletic facilities, computers, audio-visual equipment and transportation equipment. (See Figure A-6) This represents a net increase of 26.14% from last year. More detailed information about the District's capital assets is presented in Note 6 to the financial statements. Depreciation expense for the year was \$2,814,888.

The original cost of the District's capital assets was approximately \$156,883,897. Governmental activities accounted for approximately \$156,165,418, with the remainder of approximately \$718,479 accounted for in the Enterprise, School Nutrition Fund.

The largest change in capital asset activity during the year occurred in the construction in progress category. The District's construction in progress, totaled \$31,961,052 at June 30, 2024, compared to \$9,695,784 reported at June 30, 2023. This increase resulted primarily from continued construction activity associated with the high school air quality project and the high school addition/renovation project.

Figure A-6							
Capital Assets, Net of Depreciation/Amortization							
	Governmental Activities		Business Type Activities		Total District		Total Change
	June 30,		June 30,		June 30,		June 30,
	2024	2023	2024	2023	2024	2023	2023-24
Land	\$ 2,998,834	3,022,794	-	-	2,998,834	3,022,794	-0.79%
Construction in progress	31,961,052	9,695,784	-	-	31,961,052	9,695,784	229.64%
Buildings	58,675,006	60,169,411	-	-	58,675,006	60,169,411	-2.48%
Land improvements	1,507,818	1,510,321	-	-	1,507,818	1,510,321	-0.17%
Machinery and equipment	3,412,501	3,451,963	41,925	59,576	3,454,426	3,511,539	-1.63%
Right-to-use leased assets	345,837	531,919	-	-	345,837	531,919	-34.98%
Total	<u>\$ 98,901,048</u>	<u>78,382,192</u>	<u>41,925</u>	<u>59,576</u>	<u>98,942,973</u>	<u>78,441,768</u>	<u>26.14%</u>

Long-Term Debt

At June 30, 2024, the District had \$42,429,723 of total long-term debt outstanding. This represents a decrease of 3.97% from last year. (See Figure A-7) Additional information about the District's long-term debt is presented in Note 7 to the financial statements.

The District had outstanding revenue bonded indebtedness of \$42,080,000 at June 30, 2024, payable solely from the proceeds of the statewide sales, services and use tax revenues received by the District.

The District had outstanding indebtedness from lease agreements of \$349,723 at June 30, 2024.

Figure A-7			
Outstanding Long-Term Obligations			
Total District		Total Change	
June 30,		June 30,	
2024	2023	2023-24	
Revenue bonds	\$ 42,080,000	43,655,000	-3.61%
Lease agreements	349,723	526,611	-33.59%
Total	\$ 42,429,723	44,181,611	-3.97%

ECONOMIC FACTORS BEARING ON THE DISTRICT'S FUTURE

At the time these financial statements were prepared and audited, the District was aware of several existing circumstances that could significantly affect its financial health in the future:

- The State of Iowa set the supplemental state aid for fiscal year 2025 at 2.5%. The District's inability to predict future revenues may continue to have a significant impact on future budget discussions. As approximately 75% of the District's General Fund budget is comprised of salary and benefits, wage and salary increases realized through collective bargaining along with escalating health insurance premiums will have a significant impact on District expenses.
- A nationwide labor shortage has made it difficult to retain and recruit staff. It may be necessary to increase salaries and benefits to recruit and retain staff which may negatively impact the District's budget.
- The Iowa school funding formula is highly dependent upon student enrollment. The District's certified enrollment on October 2024 decreased by 123.5 students. The District's enrollment trend continues to decline every year with the district averaging a loss of 80 students over each the last five years. State projections show a continued decline in enrollment which will continue to negatively impact the District's revenues.
- The Federal Covid-19 funds have helped the District continue to operate and expand staffing to address learning loss for students. These funds were depleted in the 2023-2024 school year which will result in the District needing to prioritize and decrease spending to adjust for the loss of these funds.
- The Governor signed House File 68 in the 2023 legislative session which establishes a standing unlimited State general fund appropriation for an Education Savings Account Fund for students to attend non-public schools. It is unknown how many students will attend non-public schools in the District in future years. If a significant number of eligible public school students transition to non-public schools, it could have an adverse impact on the District's finances given the reduction in per pupil funding the District would otherwise receive.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide the District's citizens, taxpayers, customers, investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions about this report or need additional financial information, contact the Business and Finance Office, Burlington Community School District, 1429 West Avenue, Burlington, Iowa 52601.

BASIC FINANCIAL STATEMENTS

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF NET POSITION
JUNE 30, 2024

	Governmental Activities	Business Type Activities	Total
Assets			
Cash and pooled investments	\$ 57,278,196	844,741	58,122,937
Receivables:			
Property tax:			
Delinquent	104,123	-	104,123
Succeeding year	15,099,951	-	15,099,951
Accounts	59,763	8,188	67,951
Lease	374,131	-	374,131
Internal balances	(6)	6	-
Due from other governments	2,726,333	205,658	2,931,991
Inventories	-	26,261	26,261
Capital assets not being depreciated/amortized	34,959,886	-	34,959,886
Capital assets, net of accumulated depreciation/amortization	63,941,162	41,925	63,983,087
Total assets	174,543,539	1,126,779	175,670,318
Deferred Outflows of Resources			
Pension related deferred outflows	5,247,566	172,513	5,420,079
OPEB related deferred outflows	677,694	4,641	682,335
Total deferred outflows of resources	5,925,260	177,154	6,102,414
Liabilities			
Accounts payable	6,211,711	9,255	6,220,966
Salaries and benefits payable	5,071,609	54,431	5,126,040
Incurred but not reported claims	737,839	-	737,839
Accrued interest payable	160,900	-	160,900
Unamortized Bond premiums/discounts	1,715,186	-	1,715,186
Long-term liabilities:			
Portion due within one year:			
Revenue bonds	1,745,000	-	1,745,000
Lease agreements	59,735	-	59,735
Compensated absences	216,167	5,865	222,032
Portion due after one year:			
Revenue bonds	40,335,000	-	40,335,000
Lease agreements	289,988	-	289,988
Net pension liability	14,437,974	457,284	14,895,258
Total OPEB liability	1,920,677	13,150	1,933,827
Total liabilities	72,901,786	539,985	73,441,771
Deferred Inflows of Resources			
Succeeding year property tax revenue	15,099,951	-	15,099,951
Pension related deferred inflows	1,254,248	39,725	1,293,973
OPEB related deferred inflows	1,069,695	7,325	1,077,020
Lease related deferred inflows	312,226	-	312,226
Other	123,105	-	123,105
Total deferred inflows of resources	17,859,225	47,050	17,906,275
Net Position			
Net investment in capital assets	67,003,487	41,925	67,045,412
Restricted for:			
Categorical funding	919,170	-	919,170
Debt service	4,203,602	-	4,203,602
Management levy purposes	4,665,212	-	4,665,212
Student activities	300,411	-	300,411
Support trust purposes	662,635	-	662,635
School infrastructure	14,375,119	-	14,375,119
Physical plant and equipment	1,281,489	-	1,281,489
Unrestricted	(3,703,337)	674,973	(3,028,364)
Total net position	\$ 89,707,788	716,898	90,424,686

SEE NOTES TO FINANCIAL STATEMENTS.

**BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF ACTIVITIES
YEAR ENDED JUNE 30, 2024**

		Program Revenues			Net (Expense) Revenue and Changes in Net Position		
		Charges for Service	Contributions and Restricted Interest	Contributions and Restricted Interest	Governmental Activities	Business Type Activities	Total
Functions/Programs:	Expenses						
Governmental activities:							
Instruction:							
Regular	\$ 21,362,698	663,432	1,465,714	-	(19,233,552)	-	(19,233,552)
Special	8,166,332	314,832	1,738,547	-	(6,112,953)	-	(6,112,953)
Other	5,561,330	277,005	2,473,838	-	(2,810,487)	-	(2,810,487)
	35,090,360	1,255,269	5,678,099	-	(28,156,992)	-	(28,156,992)
Support services:							
Student	2,850,716	-	420,447	-	(2,430,269)	-	(2,430,269)
Instructional staff	1,869,997	-	49,781	-	(1,820,216)	-	(1,820,216)
Administration	6,194,171	-	308,171	-	(5,886,000)	-	(5,886,000)
Operation and maintenance of plant	4,665,377	-	-	2,037,287	(2,628,090)	-	(2,628,090)
Transportation	1,654,993	7,910	39,608	-	(1,607,475)	-	(1,607,475)
	17,235,254	7,910	818,007	2,037,287	(14,372,050)	-	(14,372,050)
Non-instructional programs:							
Food service operations	12,910	-	-	-	(12,910)	-	(12,910)
Community service operations	18,175	-	10,678	-	(7,497)	-	(7,497)
	31,085	-	10,678	-	(20,407)	-	(20,407)
Long-term debt interest	1,858,201	-	-	-	(1,858,201)	-	(1,858,201)
Other expenditures:							
AEA flowthrough	1,944,876	-	1,944,876	-	-	-	-
Depreciation/amortization (unallocated)*	2,132,951	-	-	-	(2,132,951)	-	(2,132,951)
	4,077,827	-	1,944,876	-	(2,132,951)	-	(2,132,951)
Total governmental activities	58,292,727	1,263,179	8,451,660	2,037,287	(46,540,601)	-	(46,540,601)
Business type activities:							
Instruction:							
Regular	462,273	310,417	256,918	-	-	105,062	105,062
Support services:							
Instructional staff	48,515	-	-	-	-	(48,515)	(48,515)
Administration	76,861	-	-	-	-	(76,861)	(76,861)
	125,376	-	-	-	-	(125,376)	(125,376)
Non-instructional programs:							
Food service operations	1,728,627	76,461	1,741,298	-	-	89,132	89,132
Total business type activities	2,316,276	386,878	1,998,216	-	-	68,818	68,818
Total	\$ 60,609,003	1,650,057	10,449,876	2,037,287	(46,540,601)	68,818	(46,471,783)
General Revenues and Transfers:							
Property tax levied for:							
General purposes					\$ 11,306,184	-	11,306,184
Capital outlay					1,103,136	-	1,103,136
Statewide sales, services and use tax					5,085,280	-	5,085,280
Unrestricted state grants					30,042,738	-	30,042,738
Unrestricted investment earnings					2,929,589	37,040	2,966,629
Other					82,091	22,124	104,215
Transfers					70,000	(70,000)	-
Total general revenues and transfers					50,619,018	(10,836)	50,608,182
Change in net position					4,078,417	57,982	4,136,399
Net position beginning of year					85,629,371	658,916	86,288,287
Net position end of year					\$ 89,707,788	716,898	90,424,686

* This amount excludes the depreciation/amortization that is included in the direct expense of various programs.

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
BALANCE SHEET
GOVERNMENTAL FUNDS
JUNE 30, 2024

	General	Capital Projects	Nonmajor	Total
Assets				
Cash and pooled investments	\$ 16,515,555	27,874,890	10,016,009	54,406,454
Receivables:				
Property tax:				
Delinquent	86,507	8,595	9,021	104,123
Succeeding year	12,255,340	1,344,606	1,500,005	15,099,951
Accounts	4,498	-	400	4,898
Lease	374,131	-	-	374,131
Due from other funds	191,279	-	-	191,279
Due from other governments	2,253,913	472,420	-	2,726,333
Total assets	\$ 31,681,223	29,700,511	11,525,435	72,907,169
Liabilities, Deferred Inflows of Resources and Fund Balances				
Liabilities:				
Due to other funds	\$ 6	191,279	-	191,285
Accounts payable	4,183,606	1,971,356	32,670	6,187,632
Salaries and benefits payable	5,071,609	-	-	5,071,609
Total liabilities	9,255,221	2,162,635	32,670	11,450,526
Deferred inflows of resources:				
Unavailable revenues:				
Succeeding year property tax	12,255,340	1,344,606	1,500,005	15,099,951
Lease	312,226	-	-	312,226
Other	118,605	4,500	-	123,105
Total deferred inflows of resources	12,686,171	1,349,106	1,500,005	15,535,282
Fund balances:				
Restricted for:				
Categorical funding	919,170	-	-	919,170
Debt service	-	-	4,364,502	4,364,502
Management levy purposes	-	-	4,665,212	4,665,212
Student activities	-	-	300,411	300,411
Support trust purposes	-	-	662,635	662,635
School infrastructure	-	24,907,281	-	24,907,281
Physical plant and equipment	-	1,281,489	-	1,281,489
Assigned	249,146	-	-	249,146
Unassigned	8,571,515	-	-	8,571,515
Total fund balances	9,739,831	26,188,770	9,992,760	45,921,361
Total liabilities, deferred inflows of resources and fund balances	\$ 31,681,223	29,700,511	11,525,435	72,907,169

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
RECONCILIATION OF THE BALANCE SHEET - GOVERNMENTAL FUNDS
TO THE STATEMENT OF NET POSITION
JUNE 30, 2024

Total fund balances of governmental funds (page 20) \$ 45,921,361

Amounts reported for governmental activities in the Statement of Net Position are different because:

Net capital assets used in governmental activities are not financial resources and, therefore, are not reported as assets in the governmental funds. 98,901,048

Accrued interest payable on long-term liabilities is not due and payable in the current year and, therefore, is not reported as a liability in the governmental funds. (160,900)

Blending of the Internal Service Fund to be reflected on an entity-wide basis. 2,164,689

Net premiums/discounts associated with bond issuances are amortized over the life of the bonds in the government-wide financial statements. (1,715,186)

Pension and OPEB related deferred outflows of resources and deferred inflows of resources are not due and payable in the current year and, therefore, are not reported in the governmental funds, as follows:

Deferred outflows of resources	\$ 5,925,260	
Deferred inflows of resources	<u>(2,323,943)</u>	3,601,317

Long-term liabilities, including revenue bonds payable, lease agreements payable, compensated absences payable, net pension liability and total OPEB liability, are not due and payable in the current year and, therefore, are not reported in the governmental funds. (59,004,541)

Net position of governmental activities (page 18) \$ 89,707,788

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES
GOVERNMENTAL FUNDS
YEAR ENDED JUNE 30, 2024

	General	Capital Projects	Nonmajor	Total
Revenues:				
Local sources:				
Local tax	\$ 10,252,364	1,103,136	1,053,820	12,409,320
Tuition	850,801	-	-	850,801
Other	1,177,198	1,632,058	760,045	3,569,301
State sources	32,556,823	5,114,782	31,800	37,703,405
Federal sources	7,768,317	-	-	7,768,317
Total revenues	52,605,503	7,849,976	1,845,665	62,301,144
Expenditures:				
Current:				
Instruction:				
Regular	21,673,535	366,606	298,111	22,338,252
Special	8,573,727	-	-	8,573,727
Other	5,533,794	-	345,117	5,878,911
	35,781,056	366,606	643,228	36,790,890
Support services:				
Student	2,913,452	-	20,722	2,934,174
Instructional staff	1,716,278	150,700	11,100	1,878,078
Administration	6,230,672	80,681	213,391	6,524,744
Operation and maintenance of plant	4,770,924	130,000	704,782	5,605,706
Transportation	1,495,588	150,000	120,026	1,765,614
	17,126,914	511,381	1,070,021	18,708,316
Non-instructional programs:				
Food service operations	-	-	12,910	12,910
Community service operations	18,175	-	-	18,175
	18,175	-	12,910	31,085
Capital outlay	-	22,973,128	-	22,973,128
Long-term debt:				
Principal	-	-	1,751,888	1,751,888
Interest and fiscal charges	-	-	1,893,339	1,893,339
	-	-	3,645,227	3,645,227
Other expenditures:				
AEA flowthrough	1,944,876	-	-	1,944,876
Total expenditures	54,871,021	23,851,115	5,371,386	84,093,522
Deficiency of revenues under expenditures	(2,265,518)	(16,001,139)	(3,525,721)	(21,792,378)
Other financing sources (uses):				
Insurance proceeds	102,526	904,053	-	1,006,579
Proceeds from the sale of real property	-	126,000	-	126,000
Proceeds from the sale of equipment	825	3,421	-	4,246
Transfer in	70,000	3,123,077	3,651,648	6,844,725
Transfer out	(3,123,077)	(3,651,648)	-	(6,774,725)
Total other financing sources (uses)	(2,949,726)	504,903	3,651,648	1,206,825
Change in fund balances	(5,215,244)	(15,496,236)	125,927	(20,585,553)
Fund balances beginning of year	14,955,075	41,685,006	9,866,833	66,506,914
Fund balances end of year	\$ 9,739,831	26,188,770	9,992,760	45,921,361

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
RECONCILIATION OF THE STATEMENT OF REVENUES, EXPENDITURES AND
CHANGES IN FUND BALANCES - GOVERNMENTAL FUNDS
TO THE STATEMENT OF ACTIVITIES
YEAR ENDED JUNE 30, 2024

Change in fund balances - total governmental funds (page 22) \$ (20,585,553)

Amounts reported for governmental activities in the Statement of Activities are different because:

Capital outlays to purchase or build capital assets are reported in governmental funds as expenditures. However, those costs are not reported in the Statement of Activities and are allocated over their estimated useful lives as depreciation/amortization expense in the Statement of Activities. Capital outlay expenditures, depreciation/amortization expense and loss on disposal in the current year are as follows:

Capital outlay	\$ 23,340,053	
Depreciation/amortization expense	(2,797,237)	
Loss on disposal	<u>(23,960)</u>	20,518,856

Repayment of long-term liabilities is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in Statement of Net Position. 1,751,888

Interest on long-term debt in the Statement of Activities differs from the amount reported in the governmental funds because interest is recorded as an expenditure in the governmental funds when due. In the Statement of Activities, interest expense is recognized as the interest accrues, regardless of when it is due. 35,138

Net change in the Internal Service Fund charged back against expenditures made for self-funded insurance on an entity-wide basis. 339,090

The current year District IPERS contributions are reported as expenditures in the governmental funds but are reported as deferred outflows of resources in the Statement of Net Position. 2,688,962

Some expenses reported in the Statement of Activities do not require the use current financial resources and, therefore, are not reported as expenditures in the governmental funds, as follows:

Compensated absences	(19,050)	
Pension expense	(669,893)	
Total OPEB liability and related expenses	<u>(81,914)</u>	<u>(770,857)</u>

Premiums/discounts on bond issuances are recorded in the governmental funds as they occur, but are amortized over the life of the bonds in the government-wide financial statements. 100,893

Change in net position of governmental activities (page 19) \$ 4,078,417

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
JUNE 30, 2024

	Business Type Activities: Enterprise Funds				Governmental Activities: Internal Service
	School Nutrition	Corse Early Childhood Center	Student Construction	Total	
Assets					
Current assets:					
Cash and pooled investments	\$ 695,542	119,475	29,724	844,741	2,871,742
Accounts receivable	8,188	-	-	8,188	54,865
Due from other governments	197,009	8,649	-	205,658	-
Due from other funds	6	171	-	177	-
Inventories	26,261	-	-	26,261	-
Total current assets	927,006	128,295	29,724	1,085,025	2,926,607
Noncurrent assets:					
Capital assets, net of accumulated depreciation	41,925	-	-	41,925	-
Total assets	968,931	128,295	29,724	1,126,950	2,926,607
Deferred Outflows of Resources					
Pension related deferred outflows	114,377	58,136	-	172,513	-
OPEB related deferred outflows	3,344	1,297	-	4,641	-
Total deferred outflows of resources	117,721	59,433	-	177,154	-
Liabilities					
Current liabilities:					
Due to other funds	171	-	-	171	-
Accounts payable	980	8,275	-	9,255	24,079
Salaries and benefits payable	42,816	11,615	-	54,431	-
Incurred but not reported claims	-	-	-	-	737,839
Total current liabilities	43,967	19,890	-	63,857	761,918
Noncurrent liabilities:					
Compensated absences	3,303	2,562	-	5,865	-
Net pension liability	312,800	144,484	-	457,284	-
Total OPEB liability	9,476	3,674	-	13,150	-
Total noncurrent liabilities	325,579	150,720	-	476,299	-
Total liabilities	369,546	170,610	-	540,156	761,918
Deferred Inflows of Resources					
Pension related deferred inflows	27,174	12,551	-	39,725	-
OPEB related deferred inflows	5,278	2,047	-	7,325	-
Total deferred inflows of resources	32,452	14,598	-	47,050	-
Net Position					
Net investment in capital assets	41,925	-	-	41,925	-
Unrestricted	642,729	2,520	29,724	674,973	2,164,689
Total net position	\$ 684,654	2,520	29,724	716,898	2,164,689

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF REVENUES, EXPENSES AND CHANGES IN FUND NET POSITION
PROPRIETARY FUNDS
YEAR ENDED JUNE 30, 2024

	Business Type Activities: Enterprise Funds				Governmental Activities: Internal Service
	School Nutrition	Corse Early Childhood Center	Student Construction	Total	
Operating revenues:					
Local sources:					
Charges for service	\$ 76,461	310,417	-	386,878	-
Miscellaneous	11,144	10,980	-	22,124	7,747,402
Total operating revenues	87,605	321,397	-	409,002	7,747,402
Operating expenses:					
Instruction:					
Regular:					
Salaries	-	272,201	-	272,201	-
Benefits	-	78,073	-	78,073	-
Services	-	102,349	-	102,349	-
Supplies	-	9,650	-	9,650	-
Total instruction	-	462,273	-	462,273	-
Support services:					
Instructional staff:					
Salaries	-	40,616	-	40,616	-
Benefits	-	7,137	-	7,137	-
Services	-	762	-	762	-
	-	48,515	-	48,515	-
Administration:					
Salaries	-	53,411	-	53,411	-
Benefits	-	22,823	-	22,823	-
Services	-	627	-	627	7,408,312
	-	76,861	-	76,861	7,408,312
Total support services	-	125,376	-	125,376	7,408,312
Non-instructional programs:					
Food service operations:					
Salaries	628,682	-	-	628,682	-
Benefits	111,022	-	-	111,022	-
Services	1,368	-	-	1,368	-
Supplies	968,916	988	-	969,904	-
Depreciation	17,651	-	-	17,651	-
Total non-instructional programs	1,727,639	988	-	1,728,627	-
Total operating expenses	1,727,639	588,637	-	2,316,276	7,408,312
Operating income (loss)	(1,640,034)	(267,240)	-	(1,907,274)	339,090
Non-operating revenues:					
State sources	8,783	39,531	-	48,314	-
Federal sources	1,732,515	217,387	-	1,949,902	-
Interest income	33,985	3,055	-	37,040	-
Total non-operating revenues	1,775,283	259,973	-	2,035,256	-
Change in net position before other financing uses	135,249	(7,267)	-	127,982	339,090
Other financing uses:					
Transfer out	(70,000)	-	-	(70,000)	-
Change in net position	65,249	(7,267)	-	57,982	339,090
Net position beginning of year	619,405	9,787	29,724	658,916	1,825,599
Net position end of year	\$ 684,654	2,520	29,724	716,898	2,164,689

SEE NOTES TO FINANCIAL STATEMENTS.

**BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS
YEAR ENDED JUNE 30, 2024**

	Business Type Activities: Enterprise Funds				Governmental Activities: Internal Service
	School Nutrition	Corse Early Childhood Center	Student Construction	Total	
Cash flows from operating activities:					
Cash received from sale of lunches and breakfasts	\$ 77,773	-	-	77,773	-
Cash received from early childhood center operations	-	311,370	-	311,370	-
Cash received from miscellaneous	11,144	10,980	-	22,124	7,692,537
Cash payments to employees for services	(768,849)	(453,093)	-	(1,221,942)	-
Cash payments to suppliers for goods or services	(941,341)	(113,215)	-	(1,054,556)	(6,676,946)
Net cash provided by (used in) operating activities	(1,621,273)	(243,958)	-	(1,865,231)	1,015,591
Cash flows from non-capital financing activities:					
Transfer to the General Fund	(70,000)	-	-	(70,000)	-
Net borrowings (repayments) to other funds	(1,288)	280	-	(1,008)	-
State grants received	8,783	50,577	-	59,360	-
Federal grants received	1,500,941	212,758	-	1,713,699	-
Net cash provided by non-capital financing activities	1,438,436	263,615	-	1,702,051	-
Cash flows from investing activities:					
Interest on investments	33,985	3,055	-	37,040	-
Net increase (decrease) in cash and pooled investments	(148,852)	22,712	-	(126,140)	1,015,591
Cash and pooled investments beginning of year	844,394	96,763	29,724	970,881	1,856,151
Cash and pooled investments end of year	\$ 695,542	119,475	29,724	844,741	2,871,742
Reconciliation of operating income (loss) to net cash provided by (used in) operating activities:					
Operating income (loss)	\$ (1,640,034)	(267,240)	-	(1,907,274)	339,090
Adjustments to reconcile operating income (loss) to net cash provided by (used in) operating activities:					
Commodities consumed	34,565	-	-	34,565	-
Depreciation	17,651	-	-	17,651	-
Change in assets and liabilities:					
Inventories	(4,223)	-	-	(4,223)	-
Accounts receivable	1,312	953	-	2,265	(54,865)
Accounts payable	(1,399)	1,161	-	(238)	(6,473)
Salaries and benefits payable	589	(10,076)	-	(9,487)	-
Incurred but not reported claims	-	-	-	-	737,839
Net pension liability	38,799	59,966	-	98,765	-
Deferred outflows of resources	(43,812)	(27,482)	-	(71,294)	-
Deferred inflows of resources	(23,472)	(3,076)	-	(26,548)	-
Compensated absences	(1,165)	1,869	-	704	-
Total OPEB liability	(84)	(33)	-	(117)	-
Net cash provided by (used in) operating activities	\$ (1,621,273)	(243,958)	-	(1,865,231)	1,015,591

Non-cash investing, capital and related financing activities:

During the year ended June 30, 2023, the District received \$34,565 of federal commodities.

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF FIDUCIARY NET POSITION
FIDUCIARY FUND
JUNE 30, 2024

	Private Purpose Trust Scholarship
Assets	
Cash and pooled investments	\$ 84,289
Liabilities	
Accounts payable	542
Net Position	
Restricted for scholarships	\$ 83,747

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF CHANGES IN FIDUCIARY NET POSITION
FIDUCIARY FUND
YEAR ENDED JUNE 30, 2024

	Private Purpose Trust Scholarship
Additions:	
Local sources:	
Gifts and contributions	\$ 1,400
Interest income	258
Total additions	<u>1,658</u>
Deductions:	
Instruction:	
Regular:	
Scholarships awarded	<u>2,884</u>
Change in net position	(1,226)
Net position beginning of year	<u>84,973</u>
Net position end of year	<u><u>\$ 83,747</u></u>

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2024

(1) Summary of Significant Accounting Policies

Burlington Community School District is a political subdivision of the State of Iowa and operates public schools for children in grades kindergarten through twelve and special education pre-kindergarten. Additionally, the District either operates or sponsors various adult education programs. These courses include remedial education as well as career and technical and recreational courses. The geographic area served includes the City of Burlington, Iowa, and the predominate agricultural territory in Des Moines County. The District is governed by a Board of Education whose members are elected on a non-partisan basis.

The District's financial statements are prepared in conformity with U.S. generally accepted accounting principles as prescribed by the Government Accounting Standards Board.

A. Reporting Entity

For financial reporting purposes, Burlington Community School District has included all funds, organizations, agencies, boards, commissions and authorities. The District has also considered all potential component units for which it is financially accountable and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to or impose specific financial burdens on the District. The District has no component units which meet the Governmental Accounting Standards Board criteria.

Jointly Governed Organizations - The District participates in a jointly governed organization that provides services to the District but do not meet the criteria of a joint venture since there is no ongoing financial interest or responsibility by the participating governments. The District is a member of the Des Moines County Assessor's Conference Board.

B. Basis of Presentation

Government-wide Financial Statements - The Statement of Net Position and the Statement of Activities report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business type activities, which rely to a significant extent on fees and charges for service.

The Statement of Net Position presents the District's nonfiduciary assets, deferred outflows or resources, liabilities and deferred inflows or resources, with the difference reported as net position. Net position is reported in the following categories:

Net investment in capital assets consists of capital assets, net of accumulated depreciation/ amortization and reduced by outstanding balances for bonds, notes and other debt attributable to the acquisition, construction or improvement of those assets.

Restricted net position results when constraints placed on net position use are either externally imposed or are imposed by law through constitutional provisions or enabling legislation.

Unrestricted net position consists of net position not meeting the definition of the preceding categories. Unrestricted net position is often subject to constraints imposed by management which can be removed or modified.

The Statement of Activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenues. Direct expenses are those clearly identifiable with a specific function. Program revenues include 1) charges to customers or applicants who purchase, use or directly benefit from goods, services or privileges provided by a given function and 2) grants, contributions and interest restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not properly included among program revenues are reported instead as general revenues.

Fund Financial Statements - Separate financial statements are provided for governmental, proprietary, and fiduciary funds, even though the latter are excluded from the government-wide financial statements. Major individual governmental funds are reported as separate columns in the fund financial statements. All remaining governmental funds are aggregated and reported as nonmajor governmental funds. Combining schedules are also included for the Capital Projects Fund accounts.

The District reports the following major governmental funds:

The General Fund is the general operating fund of the District. All general tax revenues and other revenues not allocated by law or contractual agreement to some other fund are accounted for in this fund. From the fund are paid the general operating expenses, including instructional, support and other costs.

The Capital Projects Fund is used to account for all resources used in the acquisition and construction of capital facilities and other capital assets.

The District also reports the following non-major proprietary funds:

The Enterprise, School Nutrition Fund is used to account for the District's food service operations.

The Enterprise, Corse Early Childhood Center Fund is used to account for the daycare operations of the District.

The Enterprise, Student Construction Fund is used to account for revenues and expenses associated with the District's construction trades program.

The Internal Service Fund is used to account for the partial self-funding insurance activities of the District. The Internal Service Fund is charged back to the governmental funds and shown combined in the Statement of Net Position and the Statement of Activities.

The District also reports the following fiduciary fund which focuses on net position and changes in net position:

The Private Purpose Trust Fund is used to account for assets held by the District under trust agreements which require income earned to be used to benefit individuals through scholarship awards.

C. Measurement Focus and Basis of Accounting

The government-wide, proprietary and fiduciary fund financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days after year end.

Property tax, intergovernmental revenues (shared revenues, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be susceptible to accrual. All other revenue items are considered to be measurable and available only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital leases are reported as other financing sources.

Under terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general revenues. Thus, when program expenses are incurred, there are both restricted and unrestricted net position available to finance the program. It is the District's policy to first apply cost-reimbursement grant resources to such programs and then general revenues.

When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's policy is generally to first apply the expenditure toward restricted fund balance and then to less restrictive classifications - committed, assigned and then unassigned fund balances.

Proprietary funds distinguish operating revenues and expenses from non-operating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the District's Enterprise Funds are charges to customers for sales and services. Operating expenses for Enterprise Funds include the cost of sales and services, administrative expenses, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

D. Assets, Deferred Outflows of Resources, Liabilities, Deferred Inflows of Resources and Fund Equity/Net Position

The following accounting policies are followed in preparing the financial statements:

Cash, Pooled Investments and Cash Equivalents - The cash balances of most District funds are pooled and invested. Investments are stated at fair value except for the investments in the Iowa Schools Joint Investment Trust and Miles Capital Education which are valued at amortized cost and non-negotiable certificates of deposit which are stated at cost.

For purposes of the Statement of Cash Flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash, and at the day of purchase, they have a maturity date no longer than three months.

Property Tax Receivable - Property taxes in governmental funds are accounted for using the modified accrual basis of accounting.

Property tax receivable is recognized in these funds on the levy or lien date, which is the date the tax asking is certified by the Board of Education. Delinquent property tax receivable represents unpaid taxes for the current and prior years. The succeeding year property tax receivable represents taxes certified by the Board of Education to be collected in the next fiscal year for the purposes set out in the budget for the next fiscal year. By statute, the District is required to certify its budget in April of each year for the subsequent fiscal year. However, by statute, the tax asking and budget certification for the following fiscal year becomes effective on the first day of that year. Although the succeeding year property tax receivable has been recorded, the related revenue is reported as a deferred inflow of resources in both the government-wide and fund financial statements and will not be recognized as revenue until the year for which it is levied.

Property tax revenue recognized in these funds becomes due and collectible in September and March of the fiscal year with a 1½% per month penalty for delinquent payments; is based on January 1, 2022 assessed property valuations; is for the tax accrual period July 1, 2023 through June 30, 2024 and reflects the tax asking contained in the budget certified to the County Board of Supervisors in April 2023.

Due from Other Governments - Due from other governments represents the amounts due from the State of Iowa, various shared revenues, grants and reimbursements from other governments.

Inventories - Inventories are valued at cost using the first-in, first-out method for purchased items and governmental commodities. Inventories of proprietary funds are recorded as expenses when consumed rather than when purchased or received.

Capital Assets - Capital assets are tangible and intangible assets, which include property, furniture and equipment are reported in the applicable governmental or business type activities columns in the government-wide Statement of Net Position. Capital assets are recorded at historical cost (except for intangible right-to-use lease assets, the measurement of which is discussed under "Leases" below) if purchased or constructed. Donated capital assets are recorded acquisition value. Acquisition value is the price that would have been paid to acquire a capital asset with equivalent service potential. The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are not capitalized. Intangible assets follow the same capitalization policies as tangible capital assets and are reported with tangible assets in the appropriate capital asset class. Reportable capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and estimated useful lives in excess of two years.

Asset Class	Amount
Land	\$ -
Buildings	2,500
Land improvements	2,500
Intangibles	100,000
Right-to-use leased assets	5,000
Machinery and equipment:	
School Nutrition Fund equipment	500
Other machinery and equipment	2,500

Land and construction in progress are not depreciated. The other tangible and intangible property, plant, equipment and the right-to-use leased assets are depreciated/amortized using the straight-line method over the following estimated useful lives:

Asset Class	Estimated Useful Lives
Buildings	50 years
Land improvements	20 years
Intangibles	2 or more years
Right-to-use leased assets	2-15 years
Machinery and equipment	5-12 years

Leases - Burlington Community School District is the lessee for a noncancellable lease of equipment. The District has recognized a lease liability and an intangible right-to-use lease equipment (lease asset) in the government-wide financial statements. The District recognized leases with an initial, individual value of \$5,000 or more.

At the commencement of the lease, the District initially measures the lease liability at the present value of payments expected to be made during the lease term. Subsequently, the lease liability is reduced by the principal portion of the lease payments made. The lease asset is initially measured as the initial amount of the lease liability, adjusted for lease payments made at or before the lease commencement date, plus certain initial direct costs. Subsequently, the lease asset is amortized on a straight-line basis over its useful life.

Key estimates and judgments related to leases include how Burlington Community School District determines the discount rate it uses to discount the expected lease payments to present value, lease term and lease payments.

Burlington Community School District uses the interest rate charged by the lessor as the discount rate. When the interest rate charged by the lessor is not provided, the District generally uses its estimated incremental borrowing rate as the discount rate for leases.

The lease term includes the noncancellable period of the lease. Lease payments included in the measurement of the lease liability are composed of fixed payments and a purchase option price that the District is reasonably certain to exercise.

The District monitors changes in circumstances that would require a remeasurement of its lease and will remeasure the lease asset and liability if certain changes occur that are expected to significantly affect the amount of the lease liability.

Lease assets are reported with other capital assets and lease liabilities are reported with long-term debt on the statement of net position.

Leases - Burlington Community School District is a lessor for a noncancellable lease of District land. The District recognizes a lease receivable and deferred inflow of resources in the government-wide and governmental fund financial statements.

At the commencement of a lease, the District initially measures the lease receivable at the present value of payments expected to be received during the lease term. Subsequently, the lease receivable is reduced by the principal portion of lease payments received. The deferred inflow of resources is initially measured as the initial amount of the lease receivable, adjusted for lease payments received at or before the lease commencement date. Subsequently, the deferred inflow of resources is recognized as revenue over the life of the lease term.

Key estimates and judgements include how the Burlington Community School District determines the discount rate it uses to discount the expected lease receipts to present value, lease term and lease receipts.

Burlington Community School District uses its estimated incremental borrowing rate as the discount rate for leases.

The lease term includes the noncancellable period of the lease. Lease receipts included in the measurement of the lease receivable is composed of fixed payments from the lessee.

The District monitors changes in circumstances that would require a remeasurement of its lease and will remeasure the lease receivable and deferred inflows of resources if certain changes occur that are expected to significantly affect the amount of the lease receivable.

Deferred Outflows of Resources - Deferred outflows of resources represent a consumption of net position applicable to a future year(s) which will not be recognized as an outflow of resources (expense/expenditure) until then. Deferred outflows of resources consist of unrecognized items not yet charged to pension and OPEB expense, the unamortized portion of the net difference between projected and actual earnings on pension plan investments and contributions from the District after the measurement date but before the end of the District's reporting period.

Salaries and Benefits Payable - Payroll and related expenditures for teachers with annual contracts corresponding to the current school year, which are payable in July and August, have been accrued as liabilities.

Unamortized Bond Premiums/Discounts - Premiums and discounts associated with new bond issuances are amortized over the life of the bonds in the government-wide financial statements. Premiums and discounts are shown combined on the Statement of Net Position and are amortized using the straight-line method.

Unearned Revenues - Unearned revenues are monies collected for lunches that have not yet been served. Patrons will either be reimbursed or served lunches.

Long-term Liabilities - In the government-wide financial statements, long-term debt and other long-term obligations are reported as liabilities in the governmental activities column in the Statement of Net Position.

Compensated Absences - District employees accumulate a limited amount of earned but unused vacation for subsequent use or for payment upon termination, death or retirement. A liability is recorded when incurred in the government-wide financial statements. A liability for these amounts is reported in the governmental fund financial statements only for employees who have resigned or retired. The compensated absences liability has been computed based on rates of pay in effect at June 30, 2024. The compensated absences liability attributable to the governmental activities will be primarily paid by the General Fund. Compensated absences attributable to the business type activities will be paid by the School Nutrition and the Corse Child Care Fund.

Pensions - For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments, including refunds of employee contributions, are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value. The net pension liability attributable to the governmental activities will be paid primarily by the General Fund.

Total OPEB Liability - For purposes of measuring the total OPEB liability, deferred outflows of resources related to OPEB, deferred inflows of resources related to OPEB and OPEB expense, information has been determined based on the District's actuary report. For this purpose, benefit payments are recognized when due and payable in accordance with the benefit terms. The total OPEB liability attributable to the governmental activities will be paid primarily by the General Fund.

Deferred Inflows of Resources - Deferred inflows of resources represent an acquisition of net position applicable to a future year(s) which will not be recognized as an inflow of resources (revenue) until that time. Although certain revenues are measurable, they are not available. Available means collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows of resources in the governmental fund financial statements represent the amount of assets that have been recognized, but the related revenue has not been recognized since the assets are not collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows of resources in the fund financial statements consist of property tax receivable and other receivables not collected within sixty days after year end and succeeding year property tax receivable that will not be recognized until the year for which it is levied.

Deferred inflows of resources in the Statement of Net Position consist of succeeding year property tax receivable that will not be recognized as revenue until the year for which it is levied and unrecognized items not yet charged to pension and OPEB expense.

Fund Equity - Board Policy #701.5 describes the District's fund balance designations. In the governmental fund financial statements, fund balances are classified as follows:

Restricted - Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

Assigned - Amounts the District management intends to use for specific purposes. In accordance with Board policy #701.5, the Board delegates to the superintendent the authority to assign fund balances within the General Fund for specific purposes.

Unassigned - All amounts not included in the preceding classifications.

E. Budgets and Budgetary Accounting

The budgetary comparison and related disclosures are reported as Required Supplementary Information.

(2) Cash and Pooled Investments

The District's deposits in banks at June 30, 2024 were entirely covered by federal depository insurance or by the State Sinking Fund in accordance with Chapter 12C of the Code of Iowa. This chapter provides for additional assessments against the depositories to ensure there will be no loss of public funds.

The District is authorized by statute to invest public funds in obligations of the United States government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured depository institutions approved by the Board of Education; prime eligible bankers acceptances; certain high rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; certain joint investment trusts; and warrants or improvement certificates of a drainage district.

At June 30, 2024, the District had investments in the Iowa Schools Joint Investment Trust (ISJIT) Direct Governmental Obligation Portfolio valued at an amortized cost of \$42,068,444, pursuant to Rule 21-7 under the Investment Company Act of 1940. There were no limitations or restrictions on the withdrawals of the ISJIT. The investments in the Iowa Schools Investment Trust were rated AAAM by Standard & Poor's Financial Services.

(3) Due From and Due to Other Funds

The detail of interfund receivables and payables at June 30, 2024 is as follows:

Receivable Fund	Payable Fund	Amount
School Nutrition	General	\$ 6
Corse Early Childhood Center	School Nutrition	171
General	Capital Projects: Statewide	
	Sales, Services and Use Tax	191,279
Total		<u>\$ 191,456</u>

The General Fund owes the School Nutrition Fund and the School Nutrition Fund owes the Corse Early Childhood Center Fund for revenues not reallocated by year end. The Capital Projects: Statewide Sales, Services and Use Tax Fund is repaying the General Fund for grant revenues transferred in excess.

(4) Interfund Transfers

The detail of interfund transfers for the year ended June 30, 2024 is as follows:

Transfer to	Transfer from	Amount
General	School Nutrition	\$ 70,000
Capital Projects: Statewide		
Sales, Services and Use Tax	General	3,123,077
Debt Service	Capital Projects: Statewide	
	Sales, Services and Use Tax	3,433,368
Debt Service	Capital Projects: Physical	
	Plant and Equipment Levy	218,280
Total		<u>\$ 6,844,725</u>

The transfers from the Enterprise, School Nutrition Fund to the General Fund were a reimbursement of indirect costs incurred during the year.

The transfer from the General Fund to the Capital Projects: Statewide Sales Services and Use Tax Fund was to move ESSER III federal grant revenues.

The transfers from the Capital Projects: Statewide Sales, Services and Use Tax Fund to the Debt Service Fund was for principal and interest payments on the District's revenue bonded indebtedness.

The transfer from the Capital Projects: Physical Plant and Equipment Levy Fund to the Debt Service Fund was principal and interest payments on the District's indebtedness from lease agreements.

(5) Construction Commitments

The District has entered into various contracts totaling \$45,377,337 for various infrastructure improvement projects including a high school air quality project and a high school additions/renovation project. As of June 30, 2024, costs of \$31,961,052 had been incurred against the contracts. The balance will be paid as work on the projects progresses.

(6) Capital Assets

Capital assets activity for the year ended June 30, 2024 was as follows:

	Balance Beginning of Year	Increases	Decreases	Balance End of Year
Governmental activities:				
Capital assets not being depreciated/amortized:				
Land	\$ 3,022,794	-	23,960	2,998,834
Construction in progress	9,695,784	22,413,821	148,553	31,961,052
Total capital assets not being depreciated/amortized	12,718,578	22,413,821	172,513	34,959,886
Capital assets being depreciated/amortized:				
Buildings	94,827,520	352,195	-	95,179,715
Land improvements	2,739,249	114,562	-	2,853,811
Machinery and equipment	22,160,751	608,028	80,945	22,687,834
Right-to-use leased assets	950,362	-	466,190	484,172
Total capital assets being depreciated/amortized	120,677,882	1,074,785	547,135	121,205,532
Less accumulated depreciation/amortization for:				
Buildings	34,658,109	1,846,600	-	36,504,709
Land improvements	1,228,928	117,065	-	1,345,993
Machinery and equipment	18,708,788	647,490	80,945	19,275,333
Right-to-use leased assets	418,443	186,082	466,190	138,335
Total accumulated depreciation/amortization	55,014,268	2,797,237	547,135	57,264,370
Total capital assets being depreciated/amortized, net	65,663,614	(1,722,452)	-	63,941,162
Governmental activities capital assets/amortized, net	\$ 78,382,192	20,691,369	172,513	98,901,048
Business type activities:				
Machinery and equipment	\$ 718,479	-	-	718,479
Less accumulated depreciation	658,903	17,651	-	676,554
Business type activities capital assets, net	\$ 59,576	(17,651)	-	41,925

Depreciation/amortization expense was charged to the following functions:

Governmental activities:	
Instruction:	
Regular	\$ 225,880
Support services:	
Instructional staff	69,167
Administration	13,642
Operation and maintenance of plant	126,465
Transportation	229,132
	664,286
Unallocated depreciation/amortization	2,132,951
Total governmental activities depreciation/amortization expense	\$ 2,797,237
Business type activities:	
Food service operations	\$ 17,651

(7) Long-Term Liabilities

Changes in long-term liabilities for the year ended June 30, 2024 are summarized as follows:

	Balance Beginning of Year	Additions	Reductions	Balance End of Year	Due Within One Year
Governmental activities:					
Revenue bonds	\$ 43,655,000	-	1,575,000	42,080,000	1,745,000
Lease agreements	526,611	-	176,888	349,723	59,735
Compensated absences	197,117	216,167	197,117	216,167	216,167
Net pension liability	13,273,381	1,164,593	-	14,437,974	-
Total OPEB liability	1,937,718	-	17,041	1,920,677	-
Total	<u>\$ 59,589,827</u>	<u>1,380,760</u>	<u>1,966,046</u>	<u>59,004,541</u>	<u>2,020,902</u>
Business type activities:					
Compensated absences	\$ 5,161	5,865	5,161	5,865	5,865
Net pension liability	358,519	98,765	-	457,284	-
Total OPEB liability	13,267	-	117	13,150	-
Total	<u>\$ 376,947</u>	<u>104,630</u>	<u>5,278</u>	<u>476,299</u>	<u>5,865</u>

Revenue Bonds

Details of the District's June 30, 2024 statewide sales, services and use tax revenue bonded indebtedness are as follows:

Year Ending June 30,	Bonds issued July 13, 2021			Bonds issued July 6, 2022			Year Ending June 30,	Bonds issued May 17, 2023			Total		
	Interest Rate	Principal	Interest	Interest Rate	Principal	Interest		Interest Rate	Principal	Interest	Principal	Interest	Total
2025	2.00%	\$ 350,000	137,250	4.00%	\$ 405,000	384,200	2025	5.00%	\$ 990,000	1,215,100	1,745,000	1,736,550	3,481,550
2026	2.00	355,000	130,250	4.00	420,000	368,000	2026	5.00	1,040,000	1,165,600	1,815,000	1,663,850	3,478,850
2027	2.00	360,000	123,100	4.00	440,000	351,200	2027	5.00	1,090,000	1,113,600	1,890,000	1,587,900	3,477,900
2028	2.00	370,000	115,850	4.00	455,000	333,600	2028	5.00	1,145,000	1,059,100	1,970,000	1,508,550	3,478,550
2029	2.00	375,000	108,450	4.00	475,000	315,400	2029	5.00	1,205,000	1,001,850	2,055,000	1,425,700	3,480,700
2030-2034	2.00	1,990,000	426,200	4.00	2,670,000	1,276,400	2030-2034	5.00	6,990,000	4,043,500	11,650,000	5,746,100	17,396,100
2035-2039	2.00	2,205,000	217,600	4.00	3,250,000	698,000	2035-2039	4.00-5.00	8,910,000	2,113,000	14,365,000	3,028,600	17,393,600
2040-2041	2.00	945,000	23,700	4.00	1,490,000	90,000	2039-2041	4.00	4,155,000	251,000	6,590,000	364,700	6,954,700
Total		<u>\$ 6,950,000</u>	<u>1,282,400</u>		<u>\$ 9,605,000</u>	<u>3,816,800</u>	Total		<u>\$ 25,525,000</u>	<u>11,962,750</u>	<u>42,080,000</u>	<u>17,061,950</u>	<u>59,141,950</u>

The District has pledged future statewide sales, services and use tax revenues to repay the \$11,000,000 of bonds issued in July 2021 for the purpose of refunding Series 2009 and 2012 bonds, as well as \$9,995,000 of bonds issued in July 2022 and the \$26,370,000 of bonds issued in May 2023 both for the purpose of financing various capital improvement projects. The bonds are payable solely from the proceeds of the statewide sales, services and use tax revenues received by the District and are payable through 2041. The bonds are not a general obligation of the District. However, the debt is subject to the constitutional debt limitation of the District. Annual principal and interest payments on the bonds are expected to require approximately 68% of the statewide sales, services and use tax revenues. The total principal and interest remaining to be paid on the bonds is \$59,141,950. For the current year \$1,575,000 in principal and \$1,850,147 in interest was paid on the bonds and total statewide sales, services and use tax revenues were \$5,085,280.

The resolutions providing for the issuance of the statewide sales, services and use tax revenue bonds require \$3,736,185 to be deposited and maintained in a reserve account to be used solely for the purpose of paying principal and interest on the bonds if insufficient statewide sales, services and use tax revenues are available. In addition, each month the District must set aside a portion of the statewide sales, services and use tax proceeds equal to 1/6 of the upcoming bi-annual interest payments and 1/12 of the upcoming annual principal payments.

Lease Agreements

In October, 2022, the District commenced a six-year lease agreement for telephone equipment. An initial lease liability was recorded in the amount of \$484,171. The agreement requires annual payments of \$87,354 and bears interest at 7.90% per annum. During the year ended June 30, 2024, principal and interest paid were \$55,362 and \$31,992, respectively.

Year Ending June 30,	Telephone Equipment - October 2022			
	Interest Rate	Principal	Interest	Total
2025	7.90%	\$ 59,735	27,619	87,354
2026	7.90	64,452	22,902	87,354
2027	7.90	69,542	17,812	87,354
2028	7.90	75,034	12,320	87,354
2029	7.90	80,960	6,394	87,354
Total		<u>\$ 349,723</u>	<u>87,047</u>	<u>436,770</u>

(8) Pension Plan

Plan Description - IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple employer defined benefit pension plan administered by the Iowa Public Employees' Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at P.O. Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under Iowa Code chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general information purposes only. Refer to the plan documents for more information.

Pension Benefits - A Regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a Regular member's monthly IPERS benefit includes:

- A multiplier based on years of service.
- The member's highest five-year average salary, except members with service before June 30, 2012 will use the highest three-year average salary as of that date if it is greater than the highest five-year average salary.

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early-retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25% for each month the member receives benefits before the member's earliest normal retirement age. For service earned on or after July 1, 2012, the reduction is 0.50% for each month the member receives benefits before age 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

Disability and Death Benefits - A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

Contributions - Contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. State statute limits the amount rates can increase or decrease each year to 1 percentage point. IPERS Contribution Rate Funding Policy requires that the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2024, pursuant to the required rate, Regular members contributed 6.29% of covered payroll and the District contributed 9.44% of covered payroll, for a total rate of 15.73%.

The District's contributions to IPERS for the year ended June 30, 2024 were \$2,780,438.

Net Pension Liability, Pension Expense, Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions - At June 30, 2024, the District reported a liability of \$14,895,258 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2023 and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the District's share of contributions to IPERS relative to the contributions of all IPERS participating employers. At June 30, 2023, the District's proportion was 0.330004%, which was a decrease of 0.030805% from its proportion measured as of June 30, 2022.

For the year ended June 30, 2024, the District recognized pension expense of \$761,615. At June 30, 2024, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 1,260,159	61,225
Changes of assumptions	-	236
Net difference between projected and actual earnings on IPERS' investments	1,379,482	-
Changes in proportion and differences between District contributions and the District's proportionate share of contributions	-	1,232,512
District contributions subsequent to the measurement date	2,780,438	-
Total	<u>\$ 5,420,079</u>	<u>1,293,973</u>

\$2,780,438 reported as deferred outflows of resources related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ending June 30, 2025. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30,	Amount
2025	\$ (798,124)
2026	(1,437,770)
2027	3,150,849
2028	419,248
2029	11,465
Total	<u>\$ 1,345,668</u>

There were no non-employer contributing entities at IPERS.

Actuarial Assumptions - The total pension liability in the June 30, 2023 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Rate of inflation (effective June 30, 2017)	2.60% per annum.
Rates of salary increase (effective June 30, 2017)	3.25 to 16.25% average, including inflation. Rates vary by membership group.
Long-term investment rate of return (effective June 30, 2017)	7.00% compounded annually, net of investment expense, including inflation.
Wage growth (effective June 30, 2017)	3.25% per annum, based on 2.60% inflation and 0.65% real wage inflation.

The actuarial assumptions used in the June 30, 2023 valuation were based on the results of a quadrennial experience study covering the period of July 1, 2017 through June 30, 2021.

Mortality rates used in the 2023 valuation were based on the PubG-2010 mortality tables with future mortality improvements modeled using Scale MP-2021.

The long-term expected rate of return on IPERS' investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of geometric real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Domestic equity	21.0%	4.56%
International equity	16.5	6.22
Global smart beta equity	5.0	5.22
Core plus fixed income	23.0	2.69
Public credit	3.0	4.38
Cash	1.0	1.59
Private equity	17.0	10.44
Private real assets	9.0	3.88
Private credit	4.5	4.60
Total	100.0%	

Discount Rate - The discount rate used to measure the total pension liability was 7.00%. The projection of cash flows used to determine the discount rate assumed employee contributions will be made at the contractually required rate and contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, IPERS' fiduciary net position was projected to be available to make all projected future benefit payments to current active and inactive employees. Therefore, the long-term expected rate of return on IPERS' investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate - The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.00%, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate 1% lower (6.00%) or 1% higher (8.00%) than the current rate.

	1% Decrease (6.00%)	Discount Rate (7.00%)	1% Increase (8.00%)
District's proportionate share of the net pension liability	\$ 31,670,638	14,895,258	837,213

IPERS' Fiduciary Net Position - Detailed information about IPERS' fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website at www.ipers.org.

(9) Other Postemployment Benefits (OPEB)

Plan Description - The District administers a single-employer benefit plan which provides medical and prescription drug benefits for employees, retirees and their spouses. Group insurance benefits are established under Iowa Code Chapter 509A.13. No assets are accumulated in a trust that meets the criteria in paragraph 4 of GASB Statement No. 75.

OPEB Benefits - Individuals who are employed by the District and are eligible to participate in the group health plan are eligible to continue healthcare benefits upon retirement. Retirees under age 65 pay the same premium for the medical and prescription drug benefits as active employees, which results in an implicit rate subsidy and an OPEB liability.

Retired participants must be age 55 or older at retirement. At September 1, 2022, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefit payments	16
Active employees	<u>472</u>
Total	<u>488</u>

Total OPEB Liability - The District's total OPEB liability of \$1,933,827 was measured as of June 30, 2024 and was determined by an actuarial valuation dated July 1, 2022.

Actuarial Assumptions - The total OPEB liability in the July 1, 2022 actuarial valuation was determined using the following actuarial assumptions and the entry age normal actuarial cost method, applied to all periods included in the measurement.

Rate of inflation	2.60% per annum.
Rates of salary increase	3.25-16.25% variable based upon years of service, including inflation.
Discount rate	3.93% compounded annually, including inflation.
Healthcare cost trend rate	8.00%, decreasing gradually to an ultimate rate of 3.94% in 2042.

Discount Rate - The discount rate used to measure the total OPEB liability was 3.93% which reflects the index rate for 20-year tax-exempt general obligation municipal bonds with an average rating of AA/Aa or higher as of the measurement date.

Pre-retirement mortality rates are from the PubG-2010 Employee Table, Generational using MP-2021. Annual retirement probabilities are based on varying rates by age and turnover probabilities mirror those used by IPERS.

Changes in the Total OPEB Liability

	<u>Total OPEB Liability</u>
Total OPEB liability beginning of year	\$ 1,950,985
Changes for the year:	
Service cost	124,759
Interest	74,289
Differences between expected and actual experience	(95,101)
Changes in assumptions	(39,483)
Benefit payments	<u>(81,622)</u>
Net changes	<u>(17,158)</u>
Total OPEB liability end of year	<u>\$ 1,933,827</u>

Changes of assumptions reflect a change in the discount rate from 3.65% in fiscal year 2023 to 3.93% in fiscal year 2024.

Sensitivity of the District's Total OPEB Liability to Changes in the Discount Rate - The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using a discount rate 1% lower (2.93%) or 1% higher (4.93%) than the current discount rate.

	1% Decrease (2.93%)	Discount Rate (3.93%)	1% Increase (4.93%)
Total OPEB liability	\$ 2,078,752	1,933,827	1,797,169

Sensitivity of the District's Total OPEB Liability to Changes in the Healthcare Cost Trend Rates - The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1% lower (7.00%) or 1% higher (9.00%) than the current healthcare cost trend rates.

	1% Decrease (7.00%)	Healthcare Cost Trend Rate (8.00%)	1% Increase (9.00%)
Total OPEB liability	\$ 1,732,658	1,933,827	2,169,169

OPEB Expense, Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB - For the year ended June 30, 2024, the District recognized OPEB expense of \$164,096. At June 30, 2024, the District reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 377,741	414,649
Changes in assumptions	304,594	662,371
Total	<u>\$ 682,335</u>	<u>1,077,020</u>

Amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized as OPEB expense as follows:

Year Ended June 30,	Amount
2025	\$ (34,952)
2026	(34,952)
2027	(34,952)
2028	(33,086)
2029	(46,305)
Thereafter	<u>(210,438)</u>
Total	<u>\$ (394,685)</u>

(10) Area Education Agency

The District is required by the Code of Iowa to budget for its share of special education support, media and educational services provided through the Area Education Agency. The District's actual amount for this purpose totaled \$1,944,876 for the year ended June 30, 2024 and is recorded in the General Fund by making a memorandum adjusting entry to the cash basis financial statements.

(11) Risk Management

The District has a partially self-funded health insurance plan. The District purchases commercial insurance to provide for aggregate stop-loss coverage for the excess of 120% of estimated claims for the plan year and specific stop-loss reinsurance coverage for the excess of \$85,000 in insured claims for any one covered individual. Settled claims have not exceeded the coverage in any of the past three years.

Payments are made to the plan based on actuarial estimates of amounts needed to pay prior and current year claims and to establish a reserve for catastrophic losses. The June 30, 2024 balance was \$2,164,689. The liability for incurred but not recorded claims of \$737,839 reported in the plan at June 30, 2024 is based on the requirements of GASB Statement Number 10.

In addition, Burlington Community School District is exposed to various risks of loss related to torts; theft; damage to and destruction of assets; errors and omissions; injuries to employees; and natural disasters. These risks are covered by the purchase of commercial insurance. The District assumes liability for any deductibles and claims in excess of coverage limitations. Settled claims from these risks have not exceeded commercial insurance coverage in any of the past three fiscal years. There have been no significant reductions in insurance coverage from the prior year.

(12) Categorical Funding

In accordance with Iowa Administrative Code Section 98.1, categorical funding is financial support from the state and federal governments targeted for particular categories of students, special programs, or special purposes. This support is in addition to school district or area education agency general purpose revenue, for purposes beyond the basic educational program and most often has restrictions on its use. Any portion of categorical funding provided by the state that is not expended by the end of the fiscal year must be carried forward as a restricted fund return balance.

The following is a schedule of the categorical funding restricted in the General Fund at June 30, 2024.

Program	Amount
Home School Assistance Program (HSAP)	\$ 217,406
Teacher Leadership State Aid	162,580
Four-Year-Old Preschool State Aid	281,359
Textbook Aid for Nonpublic Students	11,103
Professional Development for Model Core Curriculum	15,680
Professional Development	231,042
Total	<u>\$ 919,170</u>

(13) Reconciliation of Governmental Fund Balances to Net Position

Detailed reconciliation of certain governmental fund balances to net position is as follows:

	Net investment in Capital Assets	Debt Service	School Infrastructure	Unassigned/ Unrestricted
Fund balance (Exhibit C)	\$ -	4,364,502	24,907,281	8,571,515
Capital assets, net of accumulated depreciation/amortization	98,901,048	-	-	-
Revenue bond capitalized indebtedness	(31,547,838)	-	-	-
Indebtedness from lease agreements	(349,723)	-	-	-
Unspent bond proceeds	-	-	(10,532,162)	-
Accrued interest payable	-	(160,900)	-	-
Internal Service Fund balance	-	-	-	2,164,689
Unamortized bond premiums/discounts, net	-	-	-	(1,715,186)
Compensated absences	-	-	-	(216,167)
Pension related deferred outflows	-	-	-	5,247,566
Pension related deferred inflows	-	-	-	(1,254,248)
Net pension liability	-	-	-	(14,437,974)
Total OPEB liability	-	-	-	(1,920,677)
OPEB related deferred outflows	-	-	-	677,694
OPEB related deferred inflows	-	-	-	(1,069,695)
Assigned fund balance	-	-	-	249,146
Net position (Exhibit A)	<u>\$ 67,003,487</u>	<u>4,203,602</u>	<u>14,375,119</u>	<u>(3,703,337)</u>

(14) Tax Abatements

Governmental Accounting Standards Board Statement No. 77 defines tax abatements as a reduction in tax revenues that results from an agreement between one or more governments and an individual or entity in which (a) one or more governments promise to forgo tax revenues to which they are otherwise entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments.

Tax Abatements of Other Entities

Other entities within the District provide tax abatements for urban renewal projects pursuant to Chapters 15 and 403 of the Code of Iowa. Additionally, the entities offered urban revitalization tax abatement programs pursuant to Chapter 404 of the Code of Iowa. With prior approval by the governing body, this program provides for an exemption based on a percentage of the actual value added by improvements.

Property tax revenues of the District were reduced the following amounts for the year ended June 30, 2024 under agreements entered into by the following entities:

Entity	Tax Abatement Program	Amount of Tax Abated
City of Burlington	Urban renewal and economic development projects	\$ 414,954
	Chapter 404 tax abatement programs	283,532
City of West Burlington	Chapter 404 tax abatement programs	1,249
Des Moines County	Chapter 404 tax abatement programs	105,790

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2024, this reimbursement amounted to \$226,440.

(15) Change in Area Education Agency Funding

The Governor signed House File 2612 on March 27, 2024, which changes the percentage of educational and media services funding generated through local property taxes by Districts which flow through to each Area Education Agency (AEA) beginning July 1, 2024. For fiscal year 2025, 40% of the educational and media services funds generated by the Districts will continue to flow through to each AEA, while 60% of the funding will be retained by the District that generated the funds.

Required Supplementary Information

BURLINGTON COMMUNITY SCHOOL DISTRICT
BUDGETARY COMPARISON SCHEDULE OF REVENUES, EXPENDITURES/EXPENSES AND
CHANGES IN BALANCES - BUDGET AND ACTUAL - ALL GOVERNMENTAL FUNDS
AND PROPRIETARY FUNDS
REQUIRED SUPPLEMENTARY INFORMATION
YEAR ENDED JUNE 30, 2024

	Governmental Funds Actual	Proprietary Funds Actual	Total Actual	Budgeted Amounts		Final to Actual Variance
				Original	Final	
Revenues:						
Local sources	\$ 16,829,422	446,042	17,275,464	18,373,285	18,373,285	(1,097,821)
State sources	37,703,405	48,314	37,751,719	38,962,622	38,962,622	(1,210,903)
Federal sources	7,768,317	1,949,902	9,718,219	8,150,000	8,150,000	1,568,219
Total revenues	62,301,144	2,444,258	64,745,402	65,485,907	65,485,907	(740,505)
Expenditures/Expenses:						
Instruction	36,790,890	462,273	37,253,163	40,891,500	40,891,500	3,638,337
Support services	18,708,316	125,376	18,833,692	20,610,000	20,610,000	1,776,308
Non-instructional programs	31,085	1,728,627	1,759,712	1,920,000	2,110,000	350,288
Other expenditures	28,563,231	-	28,563,231	29,394,530	33,469,530	4,906,299
Total expenditures/expenses	84,093,522	2,316,276	86,409,798	92,816,030	97,081,030	10,671,232
Excess (Deficiency) of revenues over (under) expenditures/expenses	(21,792,378)	127,982	(21,664,396)	(27,330,123)	(31,595,123)	9,930,727
Other financing sources, net	1,206,825	(70,000)	1,136,825	125,000	125,000	1,011,825
Excess (Deficiency) of revenues and other financing sources over (under) expenditures/expenses	(20,585,553)	57,982	(20,527,571)	(27,205,123)	(31,470,123)	10,942,552
Balances beginning of year	66,506,914	658,916	67,165,830	57,123,052	57,123,052	10,042,778
Balances end of year	\$ 45,921,361	716,898	46,638,259	29,917,929	25,652,929	20,985,330

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
NOTES TO REQUIRED SUPPLEMENTARY INFORMATION - BUDGETARY REPORTING
YEAR ENDED JUNE 30, 2024

This budgetary comparison is presented as Required Supplementary Information in accordance with Governmental Accounting Standards Board Statement No. 41 for governments with significant budgetary perspective differences resulting from not being able to present budgetary comparisons for the General Fund and each major Special Revenue Fund.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds except Private Purpose Trust and Custodial Funds. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared on a GAAP basis.

Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functions, not by fund. These four functions are instruction, support services, non-instructional programs and other expenditures. Although the budget document presents function expenditures or expenses by fund, the legal level of control is at the aggregated function level, not by fund. The Code of Iowa also provides District expenditures in the General Fund may not exceed the amount authorized by the school finance formula. During the year, the District adopted one budget amendment, increasing budgeted expenditures by \$4,265,000.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF THE DISTRICT'S PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
IOWA PUBLIC EMPLOYEES' RETIREMENT SYSTEM
FOR THE LAST TEN YEARS*
(IN THOUSANDS)
REQUIRED SUPPLEMENTARY INFORMATION

	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015
District's proportion of the net pension liability	0.330004%	0.360809%	0.140312%	0.351447%	0.366880%	0.337102%	0.382667%	0.398159%	0.399011%	0.406458%
District's proportionate share of the net pension liability \$	14,895	13,632	484	24,688	21,245	23,479	25,490	25,057	19,713	16,120
District's covered payroll \$	29,071	29,186	28,104	27,934	27,924	27,912	28,586	28,595	27,385	26,607
District's proportionate share of the net pension liability as a percentage of its covered payroll	51.24%	46.71%	1.72%	88.38%	76.08%	84.12%	89.17%	87.63%	71.98%	60.59%
IPERS' net position as a percentage of the total pension liability	90.13%	91.40%	100.81%	82.90%	85.45%	83.62%	82.21%	81.82%	85.19%	87.61%

* In accordance with Governmental Accounting Standards Board Statement No. 68, the amounts presented for each fiscal year were determined as of June 30 of the preceding year.

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF DISTRICT CONTRIBUTIONS
IOWA PUBLIC EMPLOYEES' RETIREMENT SYSTEM
FOR THE LAST TEN YEARS
(IN THOUSANDS)
REQUIRED SUPPLEMENTARY INFORMATION

	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015
Statutorily required contribution	\$ 2,780	2,744	2,755	2,653	2,637	2,636	2,493	2,553	2,554	2,445
Contributions in relation to the statutorily required contribution	(2,780)	(2,744)	(2,755)	(2,653)	(2,637)	(2,636)	(2,493)	(2,553)	(2,554)	(2,445)
Contribution deficiency (excess)	\$ -	-	-	-	-	-	-	-	-	-
District's covered payroll	\$ 29,454	29,071	29,186	28,104	27,934	27,924	27,912	28,586	28,595	27,385
Contributions as a percentage of covered payroll	9.44%	9.44%	9.44%	9.44%	9.44%	9.44%	8.93%	8.93%	8.93%	8.93%

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
NOTES TO REQUIRED SUPPLEMENTARY INFORMATION - PENSION LIABILITY
YEAR ENDED JUNE 30, 2024

Changes in benefit terms:

There are no significant changes in benefit terms.

Changes in assumptions:

The 2022 valuation incorporated the following refinements after a quadrennial experience study:

- Changed mortality assumptions to the PubG-2010 mortality tables with mortality improvements modeled using Scale MP-2021.
- Adjusted retirement rates for Regular members.
- Lowered disability rates for Regular members.
- Adjusted termination rates for all membership groups.

The 2018 valuation implemented the following refinements as a result of a demographic assumption study dated June 28, 2018:

- Changed mortality assumptions to the RP-2014 mortality tables with mortality improvements modeled using Scale MP-2017.
- Adjusted retirement rates.
- Lowered disability rates.
- Adjusted the probability of a vested Regular member electing to receive a deferred benefit.
- Adjusted the merit component of the salary increase assumption.

The 2017 valuation implemented the following refinements as a result of an experience study dated March 24, 2017:

- Decreased the inflation assumption from 3.00% to 2.60%.
- Decreased the assumed rate of interest on member accounts from 3.75% to 3.50% per year.
- Decreased the discount rate from 7.50% to 7.00%.
- Decreased the wage growth assumption from 4.00% to 3.25%.
- Decreased the payroll growth assumption from 4.00% to 3.25%.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF CHANGES IN THE DISTRICT'S TOTAL OPEB LIABILITY AND RELATED RATIOS
FOR THE LAST SEVEN YEARS
REQUIRED SUPPLEMENTARY INFORMATION

	2024	2023	2022	2021	2020	2019	2018
Service cost	\$ 124,759	136,653	193,867	202,917	138,145	146,369	122,623
Interest cost	74,289	72,451	56,918	58,669	83,124	89,959	64,098
Differences between expected and actual experience	(95,101)	(312,225)	299,776	(136,321)	-	364,009	-
Changes in assumptions	(39,483)	(539,619)	(265,799)	158,706	191,623	221,278	(38,306)
Benefit payments	(81,622)	(68,661)	(126,565)	(274,077)	(308,217)	(151,043)	(192,671)
Net change in total OPEB liability	(17,158)	(711,401)	158,197	9,894	104,675	670,572	(44,256)
Total OPEB liability beginning of year	1,950,985	2,662,386	2,504,189	2,494,295	2,389,620	1,719,048	1,763,304
Total OPEB liability end of year	<u>\$ 1,933,827</u>	<u>1,950,985</u>	<u>2,662,386</u>	<u>2,504,189</u>	<u>2,494,295</u>	<u>2,389,620</u>	<u>1,719,048</u>
Covered-employee payroll	\$ 22,539,908	22,991,322	25,311,685	26,193,199	24,955,332	24,727,421	25,093,953
Total OPEB liability as a percentage of covered-employee payroll	8.58%	8.49%	10.52%	9.56%	10.00%	9.66%	6.85%

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
NOTES TO REQUIRED SUPPLEMENTARY INFORMATION - OPEB LIABILITY
YEAR ENDED JUNE 30, 2024

No assets are accumulated in a trust that meets the criteria in paragraph 4 of GASB Statement No. 75.

Changes in benefit terms:

There were no significant changes in benefit terms.

Changes in assumptions:

Changes in assumptions and other inputs reflect the effects of changes in the discount rate each period.
The following are the discount rates used in each period.

Reporting period ended June 30, 2024	3.93%
Reporting period ended June 30, 2023	3.65%
Reporting period ended June 30, 2022	3.54%
Reporting period ended June 30, 2021	2.16%
Reporting period ended June 30, 2020	2.21%
Reporting period ended June 30, 2019	3.50%
Reporting period ended June 30, 2018	3.87%
Reporting period ended June 30, 2017	3.58%

Supplementary Information

BURLINGTON COMMUNITY SCHOOL DISTRICT
COMBINING BALANCE SHEET
NONMAJOR GOVERNMENTAL FUNDS
JUNE 30, 2024

	Special Revenue				Debt Service	Total Nonmajor
	Management Levy	Student Activity	Support Trust	Total		
Assets						
Cash and pooled investments	\$ 4,672,680	314,992	662,635	5,650,307	4,365,702	10,016,009
Receivables:						
Property tax:						
Delinquent	9,021	-	-	9,021	-	9,021
Succeeding year	1,500,005	-	-	1,500,005	-	1,500,005
Accounts	-	400	-	400	-	400
Total assets	\$ 6,181,706	315,392	662,635	7,159,733	4,365,702	11,525,435
Liabilities, Deferred Inflows of Resources and Fund Balances						
Liabilities:						
Accounts payable	\$ 16,489	14,981	-	31,470	1,200	32,670
Deferred inflows of resources:						
Unavailable revenues:						
Succeeding year property taxes	1,500,005	-	-	1,500,005	-	1,500,005
Fund balances:						
Restricted for:						
Debt service	-	-	-	-	4,364,502	4,364,502
Management levy purposes	4,665,212	-	-	4,665,212	-	4,665,212
Student activities	-	300,411	-	300,411	-	300,411
Support trust purposes	-	-	662,635	662,635	-	662,635
Total fund balances	4,665,212	300,411	662,635	5,628,258	4,364,502	9,992,760
Total liabilities, deferred inflows of resources and fund balances	\$ 6,181,706	315,392	662,635	7,159,733	4,365,702	11,525,435

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
 COMBINING SCHEDULE OF REVENUES, EXPENDITURES AND
 CHANGES IN FUND BALANCES
 NONMAJOR GOVERNMENTAL FUNDS
 YEAR ENDED JUNE 30, 2024

	Special Revenue				Debt Service	Total Nonmajor
	Management Levy	Student Activity	Support Trust	Total		
Revenues:						
Local sources:						
Local tax	\$ 1,053,820	-	-	1,053,820	-	1,053,820
Other	176,707	286,856	29,809	493,372	266,673	760,045
State sources	31,800	-	-	31,800	-	31,800
Total revenues	1,262,327	286,856	29,809	1,578,992	266,673	1,845,665
Expenditures:						
Current:						
Instruction:						
Regular	237,393	-	60,718	298,111	-	298,111
Other	-	345,117	-	345,117	-	345,117
Support services:						
Student	20,722	-	-	20,722	-	20,722
Instructional staff	11,100	-	-	11,100	-	11,100
Administration	213,391	-	-	213,391	-	213,391
Operation and maintenance of plant	704,782	-	-	704,782	-	704,782
Transportation	120,026	-	-	120,026	-	120,026
Non-instructional programs:						
Food service operations	12,910	-	-	12,910	-	12,910
Long-term debt:						
Principal	-	-	-	-	1,751,888	1,751,888
Interest and fiscal charges	-	-	-	-	1,893,339	1,893,339
Total expenditures	1,320,324	345,117	60,718	1,726,159	3,645,227	5,371,386
Deficiency of revenues under expenditures	(57,997)	(58,261)	(30,909)	(147,167)	(3,378,554)	(3,525,721)
Other financing sources:						
Transfer in	-	-	-	-	3,651,648	3,651,648
Change in fund balances	(57,997)	(58,261)	(30,909)	(147,167)	273,094	125,927
Fund balances beginning of year	4,723,209	358,672	693,544	5,775,425	4,091,408	9,866,833
Fund balances end of year	\$ 4,665,212	300,411	662,635	5,628,258	4,364,502	9,992,760

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
COMBINING BALANCE SHEET
CAPITAL PROJECTS FUND ACCOUNTS
JUNE 30, 2024

	Capital Projects		
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Total
Assets			
Cash and pooled investments	\$ 26,548,332	1,326,558	27,874,890
Receivables:			
Property tax:			
Delinquent	-	8,595	8,595
Succeeding year	-	1,344,606	1,344,606
Due from other governments	467,920	4,500	472,420
Total assets	\$ 27,016,252	2,684,259	29,700,511
Liabilities, Deferred Inflows of Resources and Fund Balances			
Liabilities:			
Due to other funds	\$ 191,279	-	191,279
Accounts payable	1,917,692	53,664	1,971,356
Total liabilities	2,108,971	53,664	2,162,635
Deferred inflows of resources:			
Unavailable revenues:			
Succeeding year property tax	-	1,344,606	1,344,606
Other	-	4,500	4,500
Total deferred inflows of resources	-	1,349,106	1,349,106
Fund balances:			
Restricted for:			
School infrastructure	24,907,281	-	24,907,281
Physical plant and equipment	-	1,281,489	1,281,489
Total fund balances	24,907,281	1,281,489	26,188,770
Total liabilities, deferred inflows of resources and fund balances	\$ 27,016,252	2,684,259	29,700,511

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
COMBINING SCHEDULE OF REVENUES, EXPENDITURES
AND CHANGES IN FUND BALANCES
CAPITAL PROJECTS FUND ACCOUNTS
YEAR ENDED JUNE 30, 2024

	Capital Projects		
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Total
Revenues:			
Local sources:			
Local tax	\$ -	1,103,136	1,103,136
Other	1,591,703	40,355	1,632,058
State sources	5,085,280	29,502	5,114,782
Total revenues	6,676,983	1,172,993	7,849,976
Expenditures:			
Current:			
Instruction:			
Regular	361,444	5,162	366,606
Support services:			
Instructional staff	-	150,700	150,700
Administration	-	80,681	80,681
Operation and maintenance of plant	-	130,000	130,000
Transportation	-	150,000	150,000
Capital outlay	22,278,516	694,612	22,973,128
Total expenditures	22,639,960	1,211,155	23,851,115
Deficiency of revenues under expenditures	(15,962,977)	(38,162)	(16,001,139)
Other financing sources (uses):			
Insurance proceeds	898,663	5,390	904,053
Proceeds from the sale of real property	-	126,000	126,000
Proceeds from the sale of equipment	-	3,421	3,421
Transfer in	3,123,077	-	3,123,077
Transfer out	(3,433,368)	(218,280)	(3,651,648)
Total other financing sources (uses)	588,372	(83,469)	504,903
Change in fund balances	(15,374,605)	(121,631)	(15,496,236)
Fund balances beginning of year	40,281,886	1,403,120	41,685,006
Fund balances end of year	\$ 24,907,281	1,281,489	26,188,770

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF CHANGES IN SPECIAL REVENUE FUND, STUDENT ACTIVITY ACCOUNTS
YEAR ENDED JUNE 30, 2024

Account	Balance Beginning of Year	Revenues	Expenditures	Balance End of Year
Activity Fund	\$ 155	-	155	-
BHS Drama	639	-	-	639
BHS Vocal	2,971	-	93	2,878
BHS Orchestra	73	-	73	-
BHS Band	2,101	650	-	2,751
BHS Jazz Band	115	-	-	115
BHS Music/Drama	14,760	10,719	14,440	11,039
BHS Middle School Ath	28,217	12,961	13,853	27,325
BHS Future Grayhound B-Ball	4,927	-	-	4,927
BHS Gen Athletics	69,068	37,362	35,566	70,864
BHS Cross Country	-	1,301	1,301	-
BHS Bowling	-	80	80	-
BHS Cheerleading	9,724	2,194	8,966	2,952
BHS Boys Basketball	12,790	8,900	11,591	10,099
BHS Football	22,409	42,743	65,152	-
BHS Boys Soccer	7,325	4,926	7,717	4,534
BHS Baseball	13,108	11,035	13,555	10,588
BHS Boys Track	-	5,459	5,459	-
BHS Boys Tennis	-	475	75	400
BHS Boys Swim	16,435	6,069	11,894	10,610
BHS Wrestling	27	3,821	3,848	-
BHS Girls Basketball	4,662	5,585	5,498	4,749
BHS Volleyball	15,550	11,978	12,552	14,976
BHS Girls Soccer	3,708	4,103	4,637	3,174
BHS Softball	4,386	4,724	9,110	-
BHS Girls Track	-	6,587	5,491	1,096
BHS Girls Tennis	828	1,547	605	1,770
BHS Girls Golf	78	743	821	-
BHS Girls Swim	11,141	8,122	12,725	6,538
BHS Girls Wrestling	-	4,456	4,456	-
BHS Art Club	1,690	-	-	1,690
BHS Pathfinder	-	4,653	1,269	3,384
BHS Varsity Club	31,080	29,232	41,289	19,023
BHS Coffee Shop	1,971	-	-	1,971
BHS Grayhound Graphics	7,144	7,073	5,520	8,697
BHS Crochet Club	-	166	134	32
BHS Junior Class	13,011	8,779	3,504	18,286
BHS Sophomore Class	247	2,100	2,347	-
BHS Senior Class	7,311	-	-	7,311
BHS Honor Society	237	36	273	-
BHS St Council	12,394	16,224	15,553	13,065
BHS FCCLA	5,065	-	-	5,065
BHS IA Club	324	1,124	1,448	-
BHS Math Club	1	-	-	1
BHS Tech Student Assoc	5,267	2,076	7,166	177
BHS Manufacturing Club	1,571	4,664	1,500	4,735
BHS Deca	960	3,844	3,798	1,006
BHS BPA Club	788	-	-	788
BHS Dance Team	-	4,133	2,997	1,136
BHS Color Guard	18	-	-	18
BHS Hounds For Help	1,176	-	-	1,176
BHS Health Occupations (HOSA)	1,491	648	2,139	-
BHS GLSA Club	360	92	-	452
BHS E-Sports	-	1,400	1,400	-
Black Hawk	3,191	1,116	2,050	2,257
Corse	246	-	-	246
Grimes	628	-	292	336
James Madison	11,311	705	-	12,016
North Hill	606	400	363	643
Oak Street	5,387	1,851	2,362	4,876
Total	\$ 358,672	286,856	345,117	300,411

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
 SCHEDULE OF CHANGES IN SPECIAL REVENUE FUND, SUPPORT TRUST ACCOUNTS
 YEAR ENDED JUNE 30, 2024

Account	Balance Beginning of Year	Additions	Deductions	Balance End of Year
Gueglar Trust	\$ 14,410	-	-	14,410
John H Witte Foundation	1	-	-	1
Dorothy Lind Music	252,417	-	53,163	199,254
Burlington Education Foundation	4,748	8,173	7,555	5,366
Wedertz Music	55	-	-	55
Wagner Softball Field	3,333	150	-	3,483
Wayne Duke Baseball	2,244	-	-	2,244
James Anders	152,567	21,485	-	174,052
Stiefel Athletic Track	11,449	1	-	11,450
Bell Trust	252,320	-	-	252,320
Total	<u>\$ 693,544</u>	<u>29,809</u>	<u>60,718</u>	<u>662,635</u>

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
 SCHEDULE OF CHANGES PRIVATE PURPOSE TRUST FUND, SCHOLARSHIP ACCOUNTS
 YEAR ENDED JUNE 30, 2024

Account	Net Position Beginning of Year	Additions	Deductions	Intrafund Transfers	Net Position End of Year
Miscellaneous Scholarship	\$ 1,681	-	-	(50)	1,631
Adams Scholarship	34,764	-	-	(1)	34,763
Farr Scholarship	70	-	-	-	70
E. Bedell Scholarship	1,143	-	-	-	1,143
Haberichter Scholarship	680	-	-	-	680
Johannsen Scholarship	12,951	150	400	1	12,702
Perrine Scholarship	1,700	-	150	-	1,550
Wehman Scholarship	4,935	108	-	-	5,043
Student Council Scholarship	1,028	1,400	1,584	-	844
Ecology Scholarship	508	-	-	-	508
Huppenbauer Science Scholarship	4,219	-	500	-	3,719
Berquist Music Scholarship	17,817	-	-	-	17,817
Jefferson Nurse Scholarship	200	-	250	50	-
FCCLA Scholarship	3,000	-	-	-	3,000
Bila Scholarship	277	-	-	-	277
Total	\$ 84,973	1,658	2,884	-	83,747

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF REVENUES BY SOURCE AND EXPENDITURES BY FUNCTION
ALL GOVERNMENTAL FUNDS
FOR THE LAST TEN YEARS

	Modified Accrual Basis									
	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015
Revenues:										
Local sources:										
Local tax	\$ 12,409,320	13,737,919	15,136,990	15,420,953	14,669,263	15,281,832	15,109,698	14,414,004	14,352,078	13,728,463
Tuition	850,801	929,110	1,051,530	632,202	766,192	908,880	798,301	734,594	666,068	773,989
Other	3,569,301	2,146,701	759,764	614,981	1,027,797	1,170,962	1,241,246	860,478	1,270,050	2,136,096
State sources	37,703,405	37,854,868	37,765,899	36,624,631	36,064,961	36,209,246	37,281,697	37,857,761	38,162,654	38,633,289
Federal sources	7,768,317	12,011,322	8,607,930	6,283,197	4,463,596	4,111,757	3,701,263	3,685,850	3,462,529	3,523,851
Total	<u>\$ 62,301,144</u>	<u>66,679,920</u>	<u>63,322,113</u>	<u>59,575,964</u>	<u>56,991,809</u>	<u>57,682,677</u>	<u>58,132,205</u>	<u>57,552,687</u>	<u>57,913,379</u>	<u>58,795,688</u>
Expenditures:										
Instruction:										
Regular	\$ 22,338,252	22,355,294	22,301,814	21,774,302	20,908,020	21,837,640	21,803,196	21,932,930	22,030,385	21,265,845
Special	8,573,727	8,240,249	8,256,405	8,508,522	8,303,688	7,902,121	7,299,380	8,197,497	8,509,365	8,374,707
Other	5,878,911	5,777,975	5,706,809	5,338,018	5,540,658	5,183,846	5,436,422	5,038,393	4,275,462	4,073,374
Support services:										
Student	2,934,174	2,544,799	2,382,173	2,107,592	1,896,911	1,689,809	1,755,377	1,862,621	1,877,041	2,036,219
Instructional staff	1,878,078	2,389,188	2,136,146	2,087,069	1,941,586	2,421,349	2,648,208	2,474,561	2,731,018	2,283,938
Administration	6,524,744	6,023,485	5,627,195	5,349,151	4,913,602	5,069,078	5,260,444	5,559,996	5,281,751	5,012,281
Operation and maintenance of plant	5,605,706	5,613,997	4,976,077	4,685,993	4,162,047	4,512,444	4,263,140	3,955,927	3,699,216	3,884,968
Transportation	1,765,614	1,631,804	1,677,104	1,286,861	1,583,354	1,456,603	1,436,788	1,489,247	1,523,144	1,451,216
Non-instructional programs	31,085	35,217	60,783	28,397	23,010	21,620	41,799	32,122	40,610	56,062
Capital outlay	22,973,128	8,554,621	2,489,106	714,240	835,568	1,030,789	1,109,633	1,120,453	1,055,201	1,814,612
Long-term debt:										
Principal	1,751,888	587,967	20,766,259	1,970,000	1,910,000	1,860,000	1,815,000	1,760,000	1,730,000	1,695,000
Interest	1,893,339	602,866	291,761	774,869	847,829	917,621	985,677	1,052,328	1,112,015	1,166,453
Other expenditures:										
AEA flowthrough	1,944,876	1,984,098	1,984,145	1,993,363	1,984,635	1,991,867	2,005,193	1,965,000	2,011,978	2,009,543
Total	<u>\$ 84,093,522</u>	<u>66,341,560</u>	<u>78,655,777</u>	<u>56,618,377</u>	<u>54,850,908</u>	<u>55,894,787</u>	<u>55,860,257</u>	<u>56,441,075</u>	<u>55,877,186</u>	<u>55,124,218</u>

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

**BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS
YEAR ENDED JUNE 30, 2024**

Grantor/Program	Assistance Listing Number	Pass-Through Entity Identifying Number	Expenditures
Indirect:			
U.S. Department of Agriculture:			
Passed through Iowa Department of Education:			
Child Nutrition Cluster:			
School Breakfast Program	10.553	FY 24	\$ 277,770
National School Lunch Program	10.555	FY 24	1,432,598 *
Summer Food Service Program for Children	10.559	FY 24	22,147
Total - Child Nutrition Cluster			1,732,515 **
Child and Adult Care Food Program	10.558	FY 24	40,032
Total U.S. Department of Agriculture			1,772,547
U.S. Department of Treasury:			
Passed through Iowa Department of Education:			
Coronavirus Relief Fund	21.019	FY 24	17,917
U.S. Department of Education:			
Passed Through Iowa Department of Education:			
Title I Grants to Local Educational Agencies	84.010	FY 24	1,895,963
Career and Technical Education - Basic Grants to States	84.048	FY 24	71,558
Twenty-First Century Community Learning Centers	84.287	FY 24	361,953
Rural Education	84.358	FY 24	103,136
Supporting Effective Instruction State Grants	84.367	FY 24	201,518
Student Support and Academic Enrichment Program	84.424	FY 24	110,476
Student Support and Academic Enrichment Program:			
Stronger Connections Grant Program	84.424F	FY 24	24,914
Total - Student Support and Academic Enrichment Program			135,390
Education Stabilization Fund:			
Discretionary Grants: Rethink K-12 Education Models Grants	84.425B	FY 24	12,310
American Rescue Plan - Elementary and Secondary School Emergency Relief Fund	84.425U	FY 24	2,976,287
American Rescue Plan - Homeless children and Youth	84.425W	FY 24	9,561
Total - Education Stabilization Fund			2,998,158 *****
Passed Through Great Prairie Area Education Agency:			
Special Education Cluster (IDEA):			
Special Education Grants to States	84.027	FY 24	199,754 ***
English Language Acquisition State Grants	84.365	FY 24	1,264
Passed Through Iowa Vocational Rehabilitation Services:			
Rehabilitation Services Vocational Rehabilitation Grants to States	84.126	FY 24	34,565
Passed Through State of Iowa:			
Gaining Early Awareness and Readiness for Undergraduate Programs	84.334S	FY 24	41,101
Passed Through Iowa Workforce Development:			
Education Stabilization Fund:			
American Rescue Plan - Elementary and Secondary School Emergency Relief Fund	84.425U	FY 24	188,360 *****
Total U.S. Department of Education			6,232,720
U.S. Department of Health and Human Services:			
Passed through Iowa Department of Human Services:			
MaryLee Allen Promoting Safe and Stable Families Program	93.556	FY 24	113,988
CCDF Cluster:			
Child Care and Development Block Grant	93.575	FY 24	177,354 ****
Total U.S. Department of Health and Human Services			291,342
U.S. Department of Homeland Security:			
Passed Through State of Iowa:			
Homeland Security Grant Program	97.067	FY 24	4,500
Total			\$ 8,319,026

* - Includes \$34,565 of non-cash awards.

** - Total for Child Nutrition Cluster is \$1,732,515.

*** - Total for Special Education Cluster (IDEA) is \$199,754.

**** - Total CCDF Cluster is \$177,354.

***** - Total Education Stabilization Fund (84.425) is \$3,186,518.

Basis of Presentation - The accompanying Schedule of Expenditures of Federal Awards (Schedule) includes the federal award activity of Burlington Community School District under programs of the federal government for the year ended June 30, 2024. The information on this Schedule is presented in accordance with the requirements of Title 2, U.S. Code of Federal Regulations, Part 200, Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards (Uniform Guidance). Because the Schedule presents only selected portion of the operations of Burlington Community School District, it is not intended to and does not represent the financial position, changes in financial position or cash flows of Burlington Community School District.

Summary of Significant Accounting Policies - Expenditures reported in the Schedule are reported on the accrual or modified accrual basis of accounting. Such expenditures are recognized following, the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowed or are limited as to reimbursement.

Subrecipients - No federal expenditures presented in this schedule were provided to subrecipients.

Indirect Cost Rate - Burlington Community School District uses a federally negotiated indirect cost rate as allowed under the Uniform Guidance.

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

NOLTE, CORNMAN & JOHNSON P.C.
Certified Public Accountants
(a professional corporation)
115 North 3rd Avenue West, Newton, Iowa 50208-3218
Telephone (641) 792-1910

Independent Auditor's Report on Internal Control
over Financial Reporting and on Compliance and Other Matters
Based on an Audit of Financial Statements Performed in Accordance with
Government Auditing Standards

To the Board of Education of Burlington Community School District:

We have audited, in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in Government Auditing Standards, issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business type activities, each major fund and the aggregate remaining fund information of Burlington Community School District as of and for the year ended June 30, 2024, and the related Notes to Financial Statements, which collectively comprise the District's basic financial statements, and have issued our report thereon dated March 13, 2025.

Report on Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered Burlington Community School District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Burlington Community School District's internal control. Accordingly, we do not express an opinion on the effectiveness of Burlington Community School District's internal control.

A deficiency in internal control exists when the design or operation of the control does not allow management or employees, in the normal course of performing their assigned functions, to prevent or detect and correct misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the District's financial statements will not be prevented, or detected and corrected, on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that are not identified.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether Burlington Community School District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters which are required to be reported under Government Auditing Standards. However, we noted certain immaterial instances of noncompliance or other matters which are described in Part IV of the accompanying Schedule of Findings and Questioned Costs.

Comments involving statutory and other legal matters about the District's operations for the year ended June 30, 2024 are based exclusively on knowledge obtained from procedures performed during our audit of the financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have had an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes.

Burlington Community School District's Responses to Findings

Government Auditing Standards requires the auditor to perform limited procedure on Burlington Community School District's responses to the findings identified in our audit and described in the accompanying Schedule of Findings and Questioned Costs. Burlington Community School District's responses were not subjected to the other auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on the responses.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with Government Auditing Standards in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

We would like to acknowledge the many courtesies and assistance extended to us by personnel of Burlington Community School District during the course of our audit. Should you have any questions concerning any of the above matters, we shall be pleased to discuss them with you at your convenience.



NOLTE, CORNMAN & JOHNSON, P.C.

March 13, 2025
Newton, Iowa

NOLTE, CORNMAN & JOHNSON P.C.
Certified Public Accountants
(a professional corporation)
115 North 3rd Avenue West, Newton, Iowa 50208-3218
Telephone (641) 792-1910

Independent Auditor's Report on Compliance
for Each Major Federal Program and on Internal Control over Compliance
Required by the Uniform Guidance

To the Board of Education of Burlington Community School District:

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited Burlington Community School District's compliance with the types of compliance requirements identified as subject to audit in the U.S. Office of Management and Budget (OMB) Compliance Supplement that could have a direct and material effect on each of Burlington Community School District's major federal programs for the year ended June 30, 2024. Burlington Community School District's major federal programs are identified in the summary of auditor's results section of the accompanying Schedule of Findings and Questioned Costs.

In our opinion, Burlington Community School District complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2024.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in Government Auditing Standards, issued by the Comptroller General of the United States, and the audit requirements of Title 2, U.S. Code of Federal Regulations, Part 200, Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of Burlington Community School District and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of Burlington Community School District's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to Burlington Community School District's federal programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on Burlington Community School District's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, Government Auditing Standards and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence judgement made by a reasonable user of the report on compliance about Burlington Community School District's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with GAAS, Government Auditing Standards, and the Uniform Guidance, we:

- Exercise professional judgement and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding Burlington Community School District's compliance with the compliance requirements referred to above and performing other such procedures as we considered necessary in the circumstances.
- Obtain an understanding of Burlington Community School District's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of Burlington Community School District's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance we identified during the audit.

Report on Internal Control Over Compliance

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent or detect and correct noncompliance with a type of compliance requirement of a federal program on a timely basis. A material weakness in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A significant deficiency in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weakness as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

A handwritten signature in black ink, appearing to read "Nolte, Cornman & Johnson PC". The signature is stylized and cursive.

NOLTE, CORNMAN & JOHNSON, P.C.

March 13, 2025
Newton, Iowa

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
YEAR ENDED JUNE 30, 2024

Part I: Summary of the Independent Auditor's Results:

- (a) Unmodified opinions were issued on the financial statements prepared in accordance with U.S. generally accepted accounting principles.
- (b) No material weaknesses or significant deficiencies in internal control over financial reporting were disclosed by the audit of the financial statements.
- (c) The audit did not disclose any noncompliance which is material to the financial statements.
- (d) No material weaknesses in internal control over major programs were noted.
- (e) An unmodified opinion was issued on compliance with requirements applicable to each major program.
- (f) The audit disclosed no audit findings which were required to be reported in accordance with the Uniform Guidance, Section 200.516.
- (g) Major programs were as follows:
 - Assistance Listing Number 84.027 - Special Education Grants to States
 - Assistance Listing Number 84.425 - Education Stabilization Fund
- (h) The dollar threshold used to distinguish between Type A and Type B programs was \$750,000.
- (i) Burlington Community School District did not qualify as a low-risk auditee.

Part II: Findings Related to the Financial Statements:

INSTANCES OF NON-COMPLIANCE:

No matters were noted.

INTERNAL CONTROL DEFICIENCY:

No matters were noted.

Part III: Findings and Questioned Costs For Federal Awards:

INSTANCES OF NON-COMPLIANCE:

No matters were noted.

INTERNAL CONTROL DEFICIENCIES:

No material weaknesses in internal control over the major programs were noted.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
YEAR ENDED JUNE 30, 2024

Part IV: Other Findings Related to Required Statutory Reporting:

2024-A Certified Budget - District disbursements for the year ended June 30, 2024 did not exceed the certified budget amounts.

2024-B Questionable Expenditures - No expenditures we believe may not meet the requirements of public purpose as defined in an Attorney General's opinion dated April 25, 1979 were noted.

2024-C Travel Expense - No expenditures of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.

2024-D Business Transactions - Business transactions between the District and District officials are noted as follows:

Name, Title and Business Connection	Transaction Description	Amount
Adam Glasgow, Teacher Owns Grayhound Painting	Services	\$ 58,743
Bryan Bross, Board Member Employed by Klinger & Associates, P.C.	Services	\$ 12,065

In accordance with an Attorney General's opinion dated July 2, 1990, the above transactions with a District employee do not appear to represent a conflict of interest.

In accordance with Chapter 279.7A of the Code of Iowa, the above transactions with a District official do not appear to represent a conflict of interest.

2024-E Restricted Donor Activity - No transactions were noted between the District, District officials or District employees and restricted donors in compliance with Chapter 68B of the Code of Iowa.

2024-F Bond Coverage - Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage should be reviewed annually to ensure that the coverage is adequate for current operations.

2024-G Board Minutes - We noted no transactions requiring Board approval which have not been approved by the Board.

2024-H Certified Enrollment - We noted the enrollment data certified to the Iowa Department of Education was understated by 0.50 students.

Recommendation - The District should contact the Iowa Department of Education and the Iowa Department of Management to resolve this matter.

Response - The District's auditors will contact the Iowa Department of Education and the Iowa Department of Management to resolve this matter.

Conclusion - Response accepted.

2024-I Supplementary Weighting - No variances regarding the supplementary weighting data certified to the Iowa Department of Education were noted.

2024-J Deposits and Investments - No instances of non-compliance with the deposit and investment provisions of Chapter 12B and Chapter 12C of the Code of Iowa and the District's investment policy were noted.

- 2024-K Certified Annual Report - The Certified Annual Report was certified timely to the Iowa Department of Education.
- 2024-L Categorical Funding - No instances were noted of categorical funding being used to supplant rather than supplement other funds.
- 2024-M Statewide Sales, Services and Use Tax - No instances of non-compliance with the allowable uses of the statewide sales, services and use tax revenue provided in Chapter 423F.3 of the Code of Iowa were noted. Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the statewide sales, services and use tax revenue. Districts are required to include these reporting elements in the Certified Annual Report (CAR) submitted to the Iowa Department of Education. For the year ended June 30, 2024, the District reported the following information regarding the statewide sales, services and use tax revenue in the District's CAR:

Beginning balance		\$ 40,281,886
Revenues/transfers in:		
Sales tax revenues	\$ 5,085,280	
Other local revenues	1,591,703	
Other	898,663	
Transfer from the General Fund	<u>3,123,077</u>	<u>10,698,723</u>
Expenditures/transfers out:		
School infrastructure construction	22,278,516	
Equipment	361,444	
Transfers to the Debt Service Fund	<u>3,433,368</u>	<u>26,073,328</u>
Ending balance		<u>\$ 24,907,281</u>

For the year ended June 30, 2024, the District did not reduce any levies as a result of the monies received under Chapter 423E or 423F of the Code of Iowa.

- 2024-N Student Activity Fund - In accordance with Chapter 298A.8 of the Code of Iowa and Iowa Administrative Code 281-12.6(1), the purpose of the Student Activity Fund is to account for financial transactions related to the cocurricular and extracurricular activities offered as a part of the education program for students. We noted during our audit the District is maintaining a BHS Future Grayhound B-Ball and BHS Color Guard accounts within the Student Activity Fund that have had no activity for at least four years.

Recommendation - The District should review these accounts to determine if the groups are still active or if the accounts should be closed and the remaining balances reallocated per the discretion of the Board of Education.

Response - The District is reviewing the inactive accounts and will reallocate the funds related to inactive accounts as appropriate.

Conclusion - Response accepted.